EICHER MOTORS LTD

NSE: EICHERMOT · BSE: 505200 · Motorcycles (Royal Enfield) and commercial vehicles (VECV, 54.4% JV with Volvo Group per AR FY26)
Initiation of coverage · 22 October 2026 · prices as of 21-Oct-26 (Screener, 11:13 IST)

RATING
HOLD
model-based, medium conviction

CMP
₹7,188
12M TARGET (BLEND)
₹6,700

PRICE UPSIDE / DIV. YIELD
-6.8% / 1.1%
12M TOTAL RETURN
-5.6%

Key data	
Market cap (CMP × 27.45 cr shares)	₹197,300 cr
52-week high / low (Screener)	₹8,233 / ₹6,439
P/E trailing (CMP ÷ last four quarters EPS ₹210.4)	34.2x (Screener shows 34.2x)
Price / book (derived, BV ₹914)	7.9x
ROE / ROCE FY26 (Screener)	22% / 30%
Dividend FY26 (recommended, AR FY26)	₹82/sh (1.1% yield)
Cash and investments, Mar-26 (AR FY26)	₹19,091 cr; borrowings ₹514 cr
Net sales / PAT FY26	₹23,408 cr / ₹5,515 cr
Latest quarter (Q1 FY27, Jun-26)	Sales ₹6,632 cr; PAT ₹1,463 cr

₹ crore (consolidated)	FY24	FY25	FY26	FY27E	FY28E	FY29E
Volume (million units)	0.91	1.00	1.23	1.44	1.62	1.78
Net sales	16,536	18,870	23,408	28,656	33,044	37,215
Operating EBITDA	4,329	4,723	5,789	6,820	7,997	9,118
EBITDA margin	26.2%	25.0%	24.7%	23.8%	24.2%	24.5%
Net profit	4,001	4,734	5,515	6,145	7,033	7,920
EPS (₹)	146.1	172.7	201.1	223.9	256.2	288.5
P/E at CMP (x)	49.2	41.6	35.7	32.1	28.1	24.9

Reported FY24–FY26 from the Screener export (consolidated); FY27E–FY29E are our estimates (base case) built on our own assumptions. Operating EBITDA is Screener "operating profit" (net sales less operating expenses); it excludes other income, which includes treasury income and the share of profit of VECV (our inference).

Our view in brief

- **Excellent business, full price.** Royal Enfield sold 1,227,977 motorcycles in FY26 (+22.4%) and a record 332,940 in Q1 FY27 (+27.4%); FY26 net profit was ₹5,515 cr (+16.5%) at 22% ROE and 30% ROCE with ₹19,091 cr of cash and investments. At ₹7,188 the stock trades on 34.2x trailing and 28.1x our FY28E EPS.
- **Growth is supply-led.** Management put build capacity at about 1.5 million a year (Q1 FY27 call), 2.0 million at Cheyyar by FY28 and 2.45 million with the Tada greenfield by FY30; dealer stock was 10–12 days. We model volume of 1.44 million in FY27E and 2.09 million by FY31E.
- **Margin is the swing factor.** Q1 FY27 operating margin was 24.0% (24.9% in Q4 FY26) after a net commodity hit of 4–4.5% of sales that management said was partly offset by a 1.75% price rise on most 350cc motorcycles; depreciation rose 40% year on year.
- **Earnings include non-core items.** In our decomposition about 11% of FY26 profit before tax is the share of VECV profit and about 20% is treasury and other income.
- **Valuation.** Base-case DCF ₹5,114 today (₹5,697 12-month value) and 30x FY28E EPS of ₹7,686 blend to ₹6,692, rounded to **₹6,700**: -6.8% vs the price, -5.6% total return with the dividend – inside our Hold band (−10% to +15%). Bull-case blend ₹7,890; bear-case ₹4,958.

Virtual portfolio note. The portfolio holds 1,000 shares bought at ₹7,266.00 on 21-Oct-26 (virtual ₹1 crore tracker, not real money). This report is an AI-assisted analysis for portfolio documentation; it is not investment advice and has not been reviewed by a registered research analyst. See Appendix G.

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1. Investment summary and rating rationale

We initiate coverage of Eicher Motors Limited (EML) with a **HOLD** rating and a 12-month target of **₹6,700**, against a price of ₹7,188 on 21 October 2026. The rating follows from one comparison: a business that is growing volume at 20–30% with 24–25% operating margins, set against a share price that already capitalises that quality at a high multiple. Our estimates are our own; the reported history comes from company filings and the Screener export, and every forecast figure is labelled as our estimate.

1.1 What the company is

EML owns Royal Enfield (RE), the oldest motorcycle brand in continuous production and the leader in India's middleweight (above 125cc) segment, and a 54.4% stake in VE Commercial Vehicles Limited (VECV), a joint venture with the Volvo Group (Annual Report FY26). RE is consolidated; VECV profit enters EML's accounts as a share of profit, which in the Screener export sits inside "other income" (our inference, because the quarterly PAT bridge only reconciles when it is treated that way). In FY26 RE sold 1,227,977 motorcycles (1,107,343 in India, 120,634 international); domestic motorcycles contributed ₹16,768 cr of ₹23,408 cr net revenue, international ₹3,288 cr and allied businesses (spares, service, accessories, apparel) ₹3,351 cr (AR FY26).

1.2 Why the business deserves a premium

- **Growth with returns.** Net sales compounded at 21.8% a year from FY21 to FY26 and net profit at 32.6%; ROE was 22% and ROCE 30% in FY26 (Screener). FY26 volume rose 22.4% to 1,227,977 units and the company reported a record festive season, up 26% year on year (Q4 FY26 call).
- **Pricing power and mix.** Revenue per motorcycle (consolidated sales divided by RE volume) rose from ₹1.73 lakh in FY22 to ₹1.91 lakh in FY26 and ₹1.99 lakh in Q1 FY27, helped by price rises, international share and allied revenue (our calculation from Screener and company volumes).
- **Balance sheet.** Cash, equivalents and investments were ₹19,091 cr at March 2026 against borrowings of ₹514 cr; operating cash flow was ₹4,805 cr in FY26 (Screener). FY26 dividend of ₹82 a share absorbed ₹2,249 cr, a payout of 40.8%.
- **Customer proof points.** One in three RE customers is under 25; the company led the JD Power two-wheeler initial-quality study and the FADA dealer-satisfaction survey, and Brand Finance ranked RE the third strongest automobile brand in 2026 (Q4 FY26 call).

1.3 Why that is not enough for a Buy

- **Price already reflects it.** Our base-case DCF is ₹5,114 today and ₹5,697 on a 12-month view, -28.8% and -20.7% below the price. To reach the price with our base cash flows the cost of capital would have to be about 9.4% (we use 11.4%) or terminal growth about 8.2% (we use 5.5%).
- **P/E is near its own average.** Trailing P/E of 34.2x compares with a five-year average of 32.2x (Screener) – the stock is not cheap even against its own history, and our target multiple (30x FY28E EPS) is slightly below that average.
- **The comparison base gets tougher.** An analyst on the Q1 FY27 call noted that the industry base turns high from September–October 2026 after the GST cut; management replied that bookings, walk-ins and enquiries are growing faster than volume and that supply, not demand, is the constraint.
- **Margin pressure is real but not yet visible in the reported margin.** Q1 FY27 operating margin was flat year on year (24.0% vs 23.9%) but below the 24.9% of Q4 FY26.
- **Earnings quality.** About 31% of FY26 pre-tax profit (our decomposition) comes from VECV and treasury income, which the market may value differently from RE operating profit.

1.4 Rating and target

Rating bands (12-month total return = price return + dividend yield): Buy above +15%, Hold from −10% to +15%, Sell below −10%. Our target is a 50:50 blend of the base-case DCF 12-month value (₹5,697) and 30x FY28E EPS (₹7,686) = ₹6,692, rounded to the nearest ₹50 = ₹6,700. At ₹7,188 that is -6.8% price return and -5.6% total return including the 1.1% dividend yield, which sits inside the Hold band. The rating would be a Buy below about ₹5,897 and a Sell above about ₹7,536 (Section 11.9).

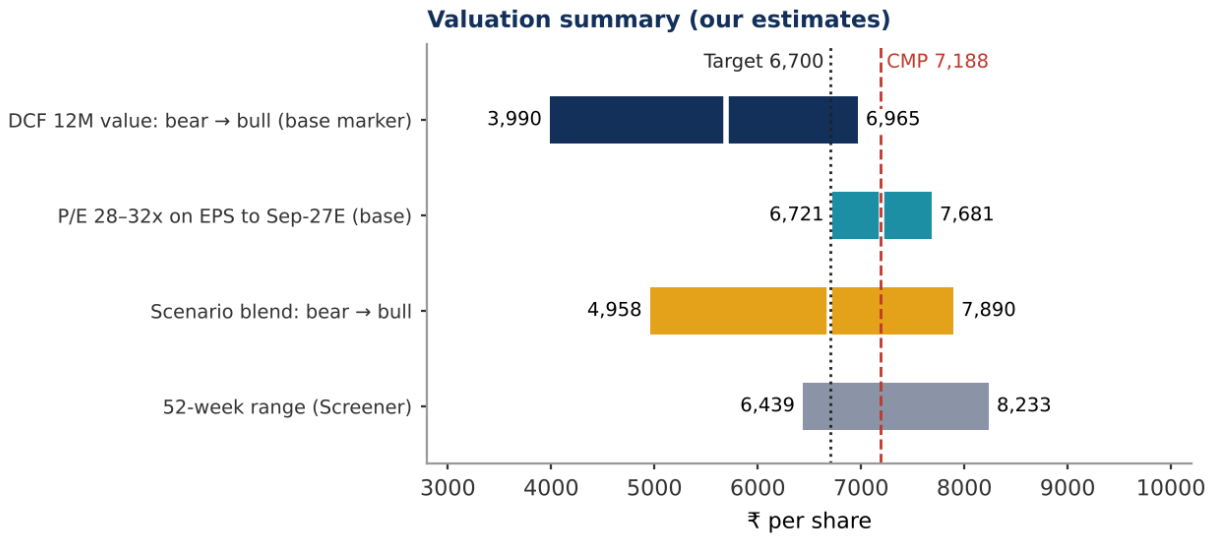


Figure 1: Valuation summary. DCF 12-month values by scenario, P/E range on base EPS, scenario blends and the 52-week range. Source: our model; Screener (52-week range).

1.5 Scenario snapshot

Our scenarios	Bear	Base	Bull
FY31E volume (million units)	1.62	2.09	2.37
FY28E EPS (₹)	198	256	294
FY28E net sales (₹ cr)	27,852	33,044	36,230
Steady-state EBITDA margin	22.0%	24.5%	26.0%
DCF value today (₹)	3,581	5,114	6,252
DCF 12-month value (₹)	3,990	5,697	6,965
30x FY28E EPS (₹)	5,926	7,686	8,815
Blend (₹)	**4,958**	**6,692**	**7,890**
vs CMP	-31.0%	-6.9%	+9.8%

Scenarios are our own and are not probability-weighted. The distribution is asymmetric to the downside because even the bull case blends to only +9.8% above the price.

2. Key financials and estimates

The table below sets three reported years beside our five-year base-case estimates. All reported figures are consolidated, from the Screener export. Estimates follow the structure in Section 10: volume × revenue per unit gives sales; margin gives EBITDA; treasury income and the share of VECV profit are added; depreciation and interest are deducted; a 23.5% tax rate is applied.

₹ crore	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Volume ('000 units)	912	1,003	1,228	1,440	1,620	1,780	1,940	2,090
Revenue per unit (₹ lakh)	1.81	1.88	1.91	1.99	2.04	2.09	2.14	2.20
Net sales	**16,536**	**18,870**	**23,408**	**28,656**	**33,044**	**37,215**	**41,574**	**45,909**
growth	+14.5%	+14.1%	+24.0%	+22.4%	+15.3%	+12.6%	+11.7%	+10.4%
Operating EBITDA	4,329	4,723	5,789	6,820	7,997	9,118	10,186	11,248
margin	26.2%	25.0%	24.7%	23.8%	24.2%	24.5%	24.5%	24.5%
Other income (treasury + VECV share)	1,521	1,994	2,225	2,448	2,636	2,831	3,040	3,250
Depreciation	598	729	840	1,150	1,350	1,500	1,700	1,850
Interest	51	54	72	85	90	95	100	100
Profit before tax	5,202	5,933	7,102	8,033	9,193	10,353	11,426	12,548
Tax	1,201	1,199	1,587	1,888	2,160	2,433	2,685	2,949
Net profit	**4,001**	**4,734**	**5,515**	**6,145**	**7,033**	**7,920**	**8,741**	**9,599**
EPS (₹)	**146.1**	**172.7**	**201.1**	**223.9**	**256.2**	**288.5**	**318.4**	**349.7**
P/E at CMP (x)	49.2	41.6	35.7	32.1	28.1	24.9	22.6	20.6
Dividend declared (₹ cr)	1,396	1,919	2,249	–	–	–	–	–
Capex (our estimate, ₹ cr)	–	–	–	1,800	2,200	2,000	1,900	1,700

Source: Screener (reported FY24–FY26); our estimates (FY27E–FY31E). Operating EBITDA is Screener "operating profit". FY27E revenue per unit (₹1.99 lakh) starts at the Q1 FY27 level (₹6,632 cr ÷ 332,940 units). FY24–FY26 per-unit uses annual volumes of 912,009, 1,002,936 and 1,227,977 (AR tables).

2.1 What drives our estimates

- **Volume** of 1.44 million in FY27E (+17%) requires the average quarter after Q1 to run at about 369,000 units, close to the Q1 run-rate of 332,940 plus the festive uplift and the second capacity module that management said would start in the first week of October (Q1 FY27 call). We do not assume the full 1.5 million build capacity is saleable in FY27.
- **Margin** of 23.8% in FY27E sits slightly below Q1 FY27 (24.0%) to allow for commodity cost still flowing through; it improves to 24.5% by FY29E as the J-platform value-engineering programme and operating leverage offset commodity and depreciation drag. These are our assumptions, not company guidance (management does not give margin guidance).
- **Depreciation** steps up to ₹1,150 cr in FY27E from ₹840 cr in FY26, in line with the Q1 FY27 run-rate (₹278 cr a quarter) and the Cheyyar and Flying Flea capitalisation described on the Q1 call.
- **VECV** profit of ₹1,650 cr in FY27E (+12% on the reported ₹1,471 cr in FY26) gives EML a share of ₹898 cr; Q1 FY27 VECV profit was ₹300 cr (+4% year on year).

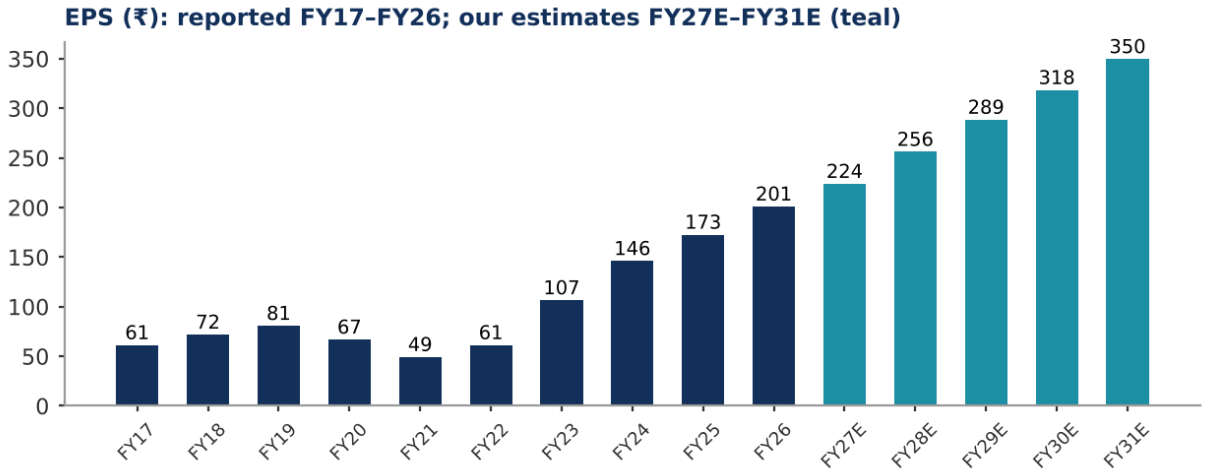


Figure 2: EPS, reported FY17–FY26 and our base-case estimates FY27E–FY31E. Source: Screener; our model.

3. Industry: Indian and global two-wheelers

The Annual Report FY26 (management discussion, citing SIAM and MotorCyclesData) gives the backdrop. India's real GDP grew an estimated 7.6% in FY26 (7.1% in FY25), CPI eased to 3.4% by March 2026 and the RBI cut the repo rate to 5.25%. Globally, the IMF projected output growth of about 3.1%, with Middle East tension, trade uncertainty and energy disruption weighing on trade; global inflation was expected to rise to about 4.4% in 2026.

3.1 Indian two-wheelers

Indicator	FY24	FY26	Source
Domestic two-wheeler sales (million units)	17.97 (+13.3%)	21.7 (+10.7%)	SIAM via AR FY24, AR FY26
Two-wheeler exports (million units)	3.45 (−5.4%)	5.18 (+23.4%)	SIAM via AR FY24, AR FY26
Motorcycles above 250cc (million units)	0.94 (+19.2%); 8.1% of motorcycles	n/a in our sources	AR FY24
H1 / H2 industry growth FY26	–	H1 about flat (<1%); H2 about +21.5%	AR FY26

FY26 industry sales of 21.7 million units were the highest on record, passing the previous peak of 21.2 million in FY19. Growth was back-ended: the first half was flat and the second half grew about 21.5% after GST 2.0, repo-rate cuts and income-tax relief. Royal Enfield's domestic volume grew 22.7% over the year, faster than the industry's 10.7%, and its share of all motorcycles in India rose from 7.3% to 8.4%.

For Royal Enfield the relevant segments are narrower than the total. The Annual Reports give three shares: all motorcycles (7.2% FY23, 7.2% FY24, 7.3% FY25, 8.4% FY26), motorcycles above 125cc (31.8%, 29.7%, 30.1%, 31.3%) and the mid-size segment of 250cc and above (92.8%, 88.5%, 87.1%, 86.8%). Mid-size share has drifted down about six points in three years as competitors launched more models (management cited more than 20 launches in three years on the Q1 FY27 call) while the segment itself grew from about 70,000 to about 120,000 units a month in management's description.

RE share in India (%)	FY23	FY24	FY25	FY26
All motorcycles	7.2	7.2	7.3	8.4
Above 125cc	31.8	29.7	30.1	31.3
Mid-size (250cc and above)	92.8	88.5	87.1	86.8

Source: Annual Reports FY24 and FY26. Management also cited about 84% mid-size share (Q2 FY26 call) and an exit share of 88.9% (Q3 FY26 call); these are quarterly or exit figures on management's own basis.

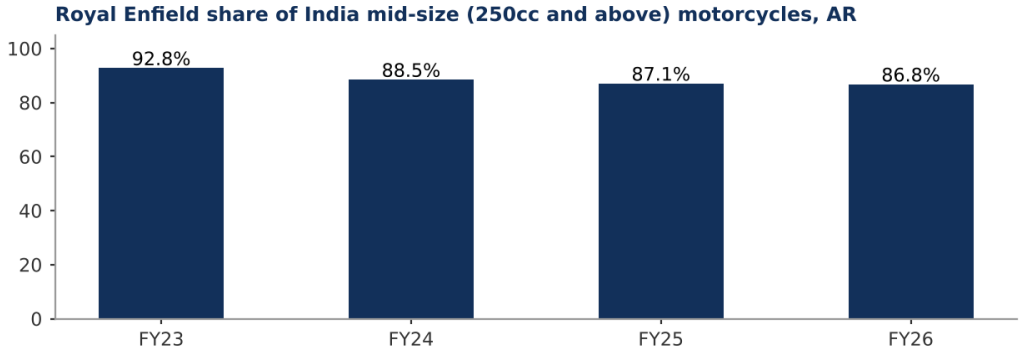


Figure: Royal Enfield share of the India mid-size segment (250cc and above). Source: Annual Reports FY24 and FY26.

3.2 Global motorcycles

Worldwide motorcycle sales reached 65.2 million units in 2025, up 4.7% (MotorCyclesData, via AR FY26), with India the largest market and Latin America and ASEAN also healthy. The Annual Report notes strong traction in premium motorcycles driven by lower-displacement models, adventure touring and lifestyle-led mobility, and growing acceptance of electric two-wheelers. In 2023 global sales were about 62.6 million (AR FY24). The Annual Report FY26 also records RE with about 8% share of the EMEA middleweight segment. Management on the Q1 FY27 call sized the market outside India at 0.8–1.0 million middleweight units a year with RE at 8–9%.

3.3 Implications

- **Premiumisation is the demand engine.** The 350cc J-platform sits at a price point that the GST change made more accessible, and upgraders and first-time buyers both appear in management's description of the customer.
- **The share story is mixed.** RE is growing faster than the industry but its mid-size share is slipping slowly as the segment becomes crowded; our volume forecasts assume it holds its segment share rather than gains.
- **Exports are an industry-wide tailwind.** Indian two-wheeler exports grew 23.4% in FY26; RE's international volume grew 20.5%, in line rather than ahead.

4. Royal Enfield: business and market position

4.1 Scale and volumes

Royal Enfield sold 1,227,977 motorcycles in FY26, its second consecutive year above one million; domestic volume grew 22.7% to 1,107,343 units and international volume 20.5% to 120,634 units (AR FY26 tables; the Q4 FY26 call quotes 23% and 20%). Volume has grown from 595,238 units in FY22, a compound rate of 19.8% a year.

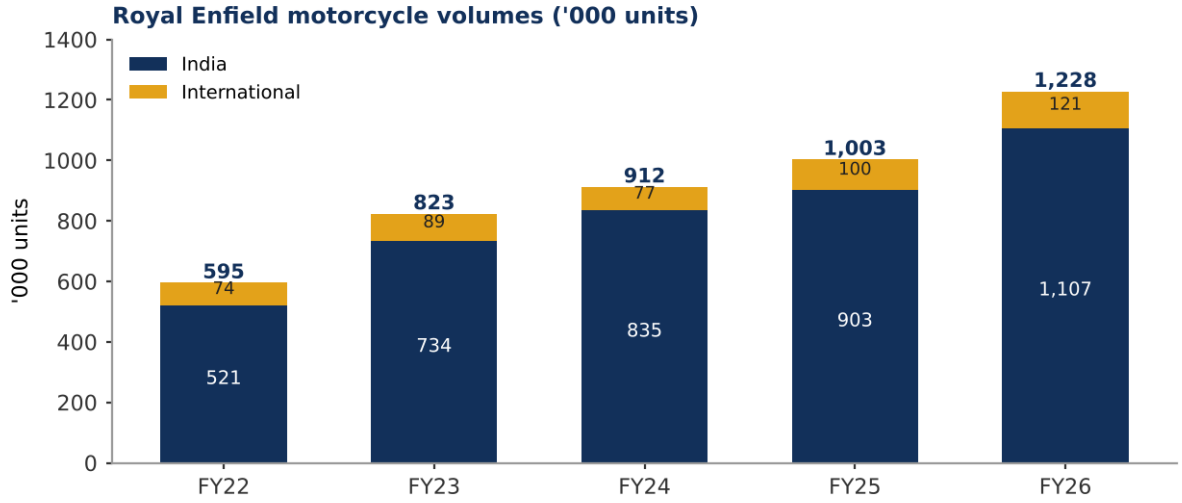


Figure 3: Royal Enfield annual volumes. Source: Annual Report FY26.

	FY22	FY23	FY24	FY25	FY26
Domestic (units)	521,000	734,000	834,800	902,800	1,107,343
growth	–	+40.9%	+13.7%	+8.1%	+22.7%
International (units)	74,238	89,226	77,209	100,136	120,634
growth	–	+20.2%	-13.5%	+29.7%	+20.5%
Total (units)	**595,238**	**823,226**	**912,009**	**1,002,936**	**1,227,977**
growth	–	+38.3%	+10.8%	+10.0%	+22.4%

Source: Annual Reports (domestic and international volumes); growth rates our calculation.

4.2 Market position in India

RE's share of all motorcycles in India was 8.4% in FY26 (7.3% in FY25), of motorcycles above 125cc 31.3% on a segment of 3,535 thousand units, and of the mid-size segment (250cc and above) 86.8% (87.1%), per AR FY26. The industry backdrop and the share history are in Section 3. On the Q1 FY27 call management said the middleweight segment in India had grown from about 70,000 units a month three years earlier to about 120,000, of which RE sold about 101,000 (from about 61,000), after more than 20 competitor launches.

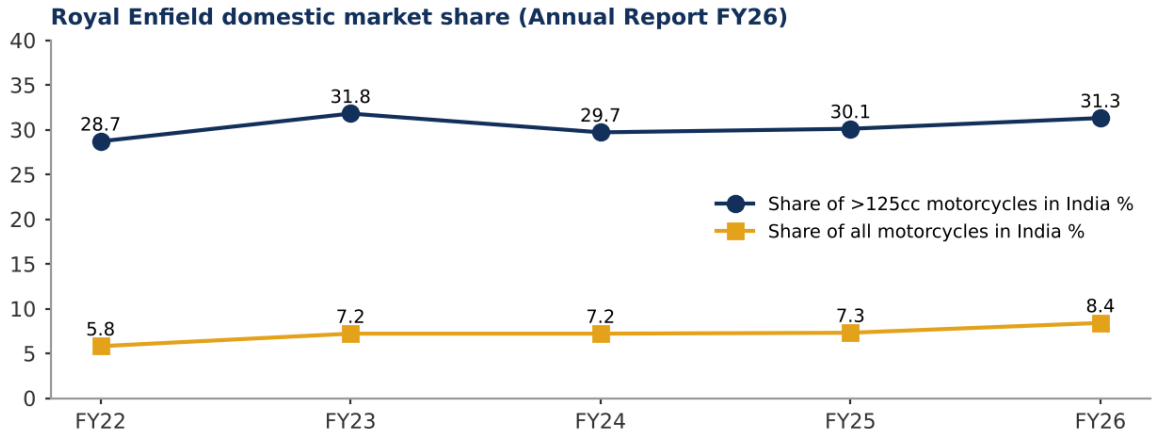


Figure 4: Royal Enfield share of the Indian motorcycle market. Source: Annual Report FY26.

Reconciling share figures. The AR gives 86.8% of the mid-size segment for FY26; management cited about 84% on the Q2 FY26 call, an exit share of 88.9% on the Q3 FY26 call, and the Q1 FY27 call implies about 84% (101,000 of 120,000 a month). These are different periods and bases; we quote each as its source gives it and use none of them in our volume forecasts.

4.3 Products

The 350cc "J-platform" family (Classic, Bullet, Hunter, Meteor, Goan Classic) is the volume engine; management said these models grew about 34% in Q1 FY27 against the prior-year quarter. Hunter 350 was extended with a new base premium variant and three colourways, and roughly half of Hunter buyers are first-time motorcycle buyers (Q1 FY27 call). The 450cc and 650cc platforms were set back by the 2025 GST rationalisation (which, per the Q2 FY26 call, made motorcycles up to 350cc more accessible) and, according to management, have returned to pre-GST sales levels: Guerrilla 450 about 2,400–2,500 a month and the 650 twins about 4,000–4,200 a month. The Bullet 650 (launched Q1 FY27), a Guerrilla 450 Apex variant and a Continental GT Cup series are the demand-building actions; management said Super Meteor, Himalayan and Shotgun are being supported with refreshes and experiential marketing after weaker Q1 sales (Q1 FY27 call).

The company launched its first electric motorcycle, the Flying Flea C6, in Bengaluru in April 2026 under a separate "City+" brand. About 100 vehicles were delivered in two months and customers had ridden about 29,000 km; management plans about ten Bengaluru touchpoints and about six further cities, one at a time (Q1 FY27 call). We attribute no material revenue to the brand in our estimates.

4.4 Revenue mix

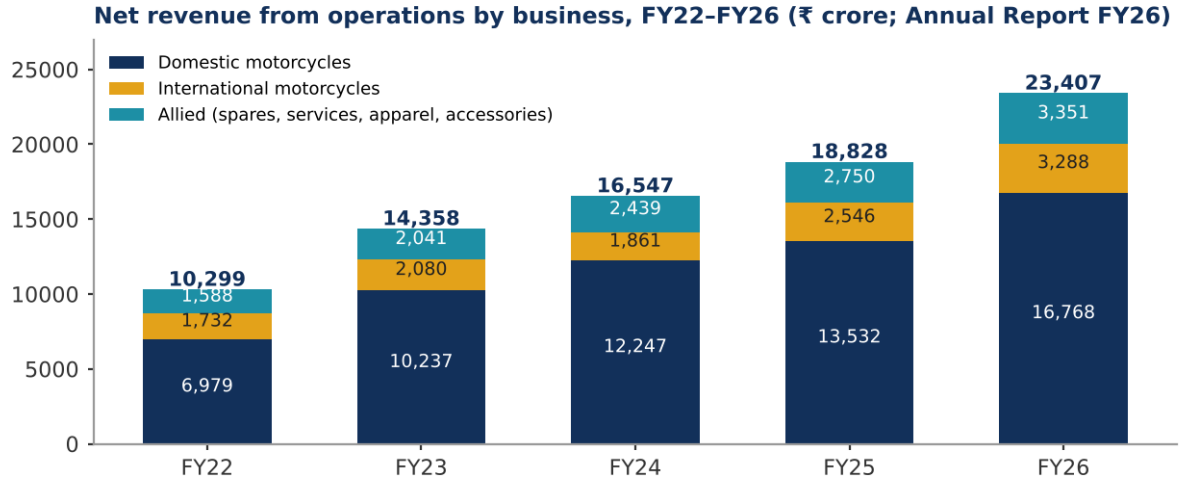


Figure 5: Net revenue by business. Source: Annual Report FY26.

₹ crore	FY22	FY23	FY24	FY25	FY26	CAGR
Domestic motorcycles	6,979	10,237	12,247	13,532	16,768	24.5%
International motorcycles	1,732	2,080	1,861	2,546	3,288	17.4%
Allied businesses	1,588	2,041	2,439	2,750	3,351	20.5%
Total	**10,299**	**14,358**	**16,547**	**18,828**	**23,407**	**22.8%**
International % of total	16.8%	14.5%	11.2%	13.5%	14.0%	
Allied % of total	15.4%	14.2%	14.7%	14.6%	14.3%	

Source: Annual Report FY26 revenue split; percentages our calculation. The AR split sums to ₹23,407 cr for FY26 against Screener net sales of ₹23,407.56 cr; FY24 international revenue appears as ₹1,850 cr in AR FY24 and ₹1,861 cr in AR FY26, and we use the later figure (Appendix F).

Allied revenue grew 20.5% a year over FY22–FY26 and now makes up about 14% of sales. On the Q1 FY27 call management put allied businesses at about 15% of revenue: service job cards up about 20% year on year at about 900,000 a month, accessories and apparel up more than 30%, and accessory attachment at about 87% of motorcycles sold. In FY26 genuine accessories revenue grew 32%, apparel 21% and spare parts 18% (Q4 FY26 call).

4.5 International

International volume was 120,634 units in FY26 (9.8% of the total) and revenue ₹3,288 cr (14% of the total); in Q1 FY27 international revenue crossed ₹1,000 cr for the first time and was 15.3% of revenue, against 13.7% in Q4 FY26 (Q1 FY27 call). Brazil is the largest and fastest-growing market after India (growth of about 71% in FY26 per the Q4 call; about one in four exported motorcycles goes to Brazil), supported by a local CKD facility. The company estimates the market outside India at 0.8–1.0 million units a year with a share of 8–9%. Europe is in what management called a market-adjustment year, the United States is about 3% of the total for the company (Q4 FY26 call) and tariff clarity improved after a trade deal that, management said, brought the rate to 18% with steel and aluminium tariffs unresolved (Q3 FY26 call). Q1 FY27 international volume of 31,766 units was 2.4% below the prior-year quarter, even as revenue grew.

The company runs six CKD assembly facilities with local partners (Argentina, Colombia, two in Brazil, Bangladesh, Nepal) and one fully owned facility in Thailand, subsidiaries in North America, Brazil, Thailand, the UK, Canada and the Netherlands, 356 exclusive stores and more than 869 multi-brand outlets outside India (AR FY26). In India there are more than 2,074 stores. On the Q1 call management said an Indonesian quota of about 10,000 units a year and a luxury tax of 160% or more above 250cc limit that market, and that a CKD partner in Indonesia was under evaluation with a decision expected in the quarter ending September 2026.

5. Capacity, supply and the Q1 FY27 constraint

The binding constraint on volume in the past year has been supply rather than demand. On the Q1 FY27 call management described the position as follows: production reached about 4,500 units a day in June 2026 (116,000 in the month); Oragadam and Vallam had run three shifts since April; the first Cheyyar module started in the last week of July and lifted deliveries from the plants to more than 5,000 a day; a second module is due in the first week of October (the company was trying to bring it forward). Dealer inventory was 10–12 days, with a further four to five days in transit; the company is raising direct billing to dealers, which it said could save four to five days of secondary transit.

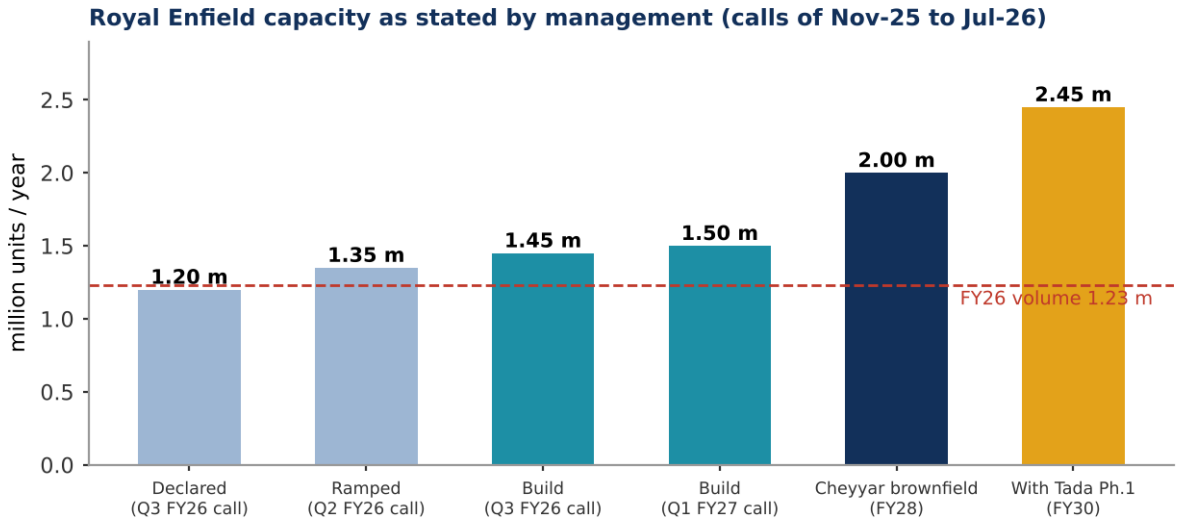


Figure 6: Royal Enfield capacity roadmap as stated by management. Source: Q4 FY26 and Q1 FY27 calls; Board approval of Tada Phase 1 on 29-Jul-26. FY26 volume line from AR FY26.

Capacity step	Capacity (m units/yr)	Timing (management)	Investment
Build capacity after first Cheyyar module	~1.5	July 2026 (call)	₹958 cr Cheyyar brownfield cleared Feb-26
Cheyyar brownfield complete	2.0	FY28 (call)	(same)
Tada, Andhra Pradesh – Phase 1	+0.45 (to 2.45 total)	By FY30, in modules	₹1,225 cr approved 29-Jul-26

Source: Q4 FY26 call (₹958 cr) and Q1 FY27 call (₹1,225 cr, 4.5 lakh motorcycles a year at full utilisation, timing).

5.1 Quarterly volumes

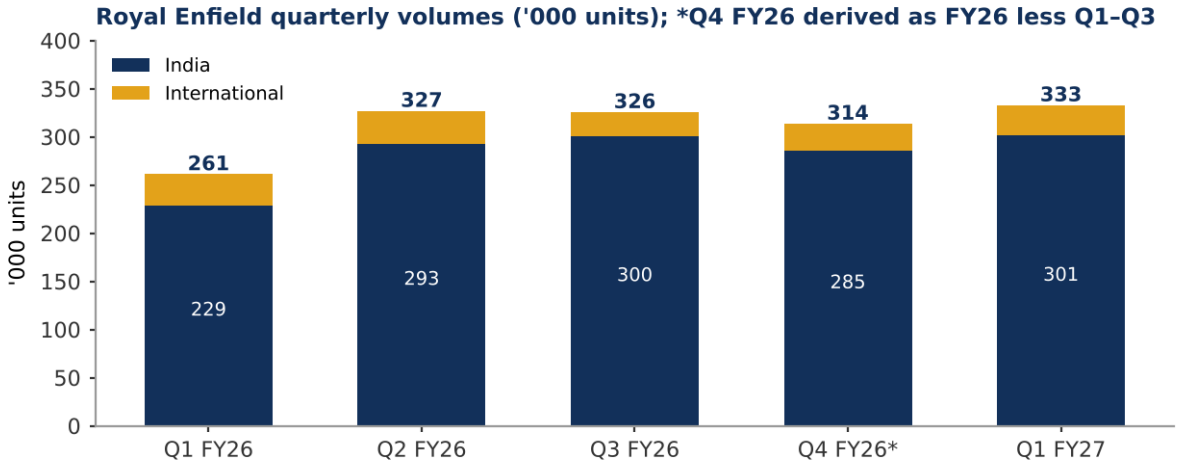


Figure 7: Quarterly volumes. Q4 FY26 derived as FY26 total less Q1–Q3 (313,811 total; 285,435 India; 28,376 international). Source: company calls; AR FY26.

	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26*	Q1 FY27
Total	261,326	327,067	325,773	313,811	332,940
India	228,779	292,703	300,426	285,435	301,174
International	32,547	34,364	25,347	28,376	31,766

*Derived. Q2 and Q3 FY26 volumes are from the respective call transcripts; Q1 FY27 and Q1 FY26 from the Q1 FY27 call. Q1 FY27 total +27.4% year on year, India +31.6%, international −2.4% (our calculations).

5.2 What supply constraint means for our estimates

Illustratively, at 5,000 units a day over about 300 working days the plants could deliver about 1.5 million units a year, consistent with the stated build capacity and above our FY27E volume of 1.44 million. We therefore treat FY27E as supply-feasible with the second module; FY28E volume of 1.62 million (+12.5%) sits below the 2.0 million Cheyyar capacity, leaving headroom, while FY30E–FY31E volumes of 1.94 and 2.09 million require the Tada capacity (2.45 million by FY30) to come on time. Capacity delays are therefore a direct risk to our out-year volume.

Other Q1 FY27 operating events that management described: a liquefied petroleum gas shortage (managed by switching to piped natural gas), manpower shortages (additional recruitment and contractor support) and commodity availability issues; and, in the Q4 FY26 call, a disruption of two to three weeks in April–May linked to elections, migrant labour movement and LPG availability that was settling at the time.

6. VE Commercial Vehicles (VECV)

EML holds 54.4% of VECV, a joint venture with the Volvo Group (AR FY26). VECV makes Eicher-brand light, medium and heavy trucks and buses and, with Volvo, Volvo trucks and buses; the Annual Report records 103,404 units in FY26 (record, first time above 100,000), record production of 102,452 vehicles and a network of 1,250 outlets, up 164 during the year, with company-owned dealer operations selling more than 17,200 units. B. Srinivas became MD and CEO in March 2026, succeeding Vinod Aggarwal, who became Chairman of VECV and Vice Chairman of EML (Q4 FY26 call).

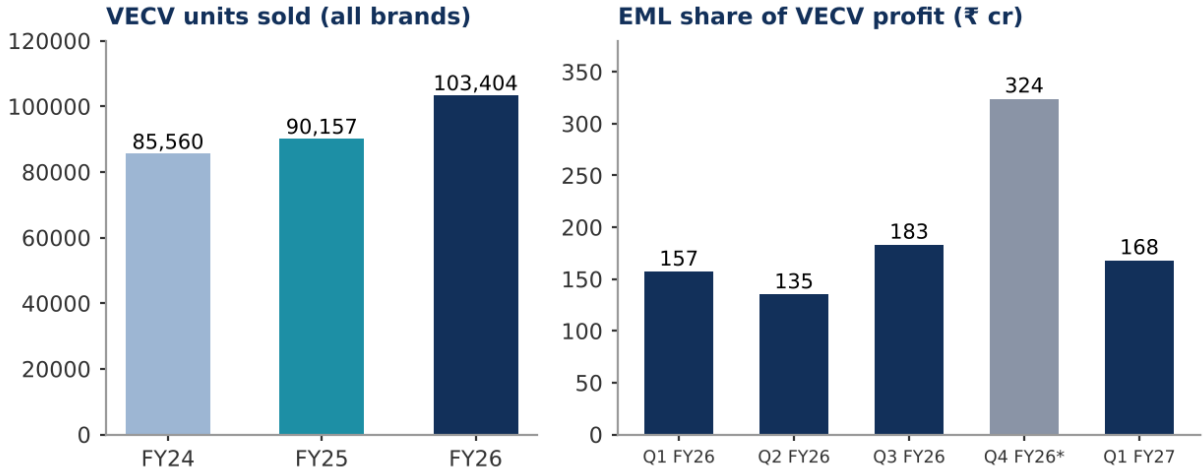


Figure 8: VECV units sold and EML's share of VECV profit by quarter. Q4 FY26 share derived as 54.4% × VECV PAT of ₹595.8 cr. Source: Annual Reports, company calls; our calculation.

VECV (₹ crore, consolidated)	FY26	Q4 FY26	Q1 FY26	Q1 FY27
Revenue	27,077	8,281	5,671	6,610
EBITDA	2,563	922	511	541
EBITDA margin	9.5%	11.1%	9.2%	8.4%
Profit after tax	1,471	596	288	300
EML share of profit (54.4%)	~800	~324	157*	163–168 (conflict)

Source: Q4 FY26 call (FY26 and Q4), Q1 FY27 call (Q1 FY27 and Q1 FY26). Margins and the EML share are our calculations. *EML share in Q1 FY26 per the Q2 FY26 call. The Q1 FY27 EML share is quoted as ₹168 cr on the call but 54.4% of ₹300 cr is ₹163 cr; we show both and use 168 in Figure 8 (Appendix F).

Q1 FY27 was VECV's best-ever first quarter at 24,815 units (+14.8%): Eicher heavy-duty 5,275 (+15.2%, market share 8.8%), light and medium-duty 9,993, buses 6,126, Volvo trucks and buses a record 598 and exports 1,450 (+14.7%). The small commercial vehicle entry (Pro X) delivered 1,041 trucks including 172 electric. Spares revenue grew 15.3%. EBITDA margin eased to 8.4% from 9.2% a year earlier. Management said a memorandum of understanding was signed for the Delhi-NCR fleet-modernisation scheme "PARIVARTAN", which targets more than 200,000 vehicles with implementation still being finalised (Q1 FY27 call).

6.1 VECV by quarter and by business

VECV	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	FY26	Q1 FY27
Units	21,610*	21,901	26,086	33,807*	103,404	24,815
Revenue (₹ cr)	5,671	6,106†	7,019	8,281	27,077	6,610
EBITDA (₹ cr)	511	479	652	922	2,563	541
PAT (₹ cr)	288	249	338	596	1,471	300
EML share of PAT (54.4%)	157	135	183	~324*	~800*	163–168

Source: Q2, Q3, Q4 FY26 and Q1 FY27 calls. *Derived: Q1 FY26 units = H1 FY26 43,511 less Q2 21,901; Q4 FY26 units = FY26 103,404 less nine-month 69,597; EML shares from the calls for Q1–Q3 and 54.4% of PAT for Q4 and FY26. †Q2 revenue was quoted on a standalone basis. The four quarterly PATs sum to ₹1,471 cr, matching the FY26 figure. Quarterly EBITDA margin: 9.0%, 7.8% (call says 8.0%), 9.3% (call says 9.5%), 11.1%.

FY26 unit mix (Q4 FY26 call): Eicher heavy-duty trucks 25,155 (+14.1%, market share 9.1%); light and medium-duty trucks 46,195; Eicher buses 18,651; Volvo buses 712 and Volvo trucks 1,712; Pro X small commercial vehicles 2,452 including 726 electric; exports 6,933 (+33.9%); spare-parts sales ₹3,045.5 cr (+13.9%). The Q3 FY26 call noted that bus volumes fell on lost institutional orders (UPSRTC order in the prior year) and that exports were supported by the Middle East (100-plus vehicles a month), Bangladesh, Nepal and Africa. VECV also announced a ₹544 cr Volvo transmission plant in Madhya Pradesh in October 2025 (Q2 FY26 call).

6.2 Volvo Financial Services JV

On 21 May 2026 EML announced its intent to form a 50:50 joint venture with the Volvo Group in vehicle financing, investing up to ₹750 cr for 50% of Volvo Financial Services India (assets under management ₹1,806 cr; it would issue fresh equity). It would be the captive financing arm for VECV, EML (Royal Enfield) and Volvo Group products in India (Q4 FY26 call). We do not model any contribution; the investment is small against the ₹19,091 cr cash pile but would add financial-services risk and, in time, a different earnings stream.

6.3 How we value VECV

We value VECV separately: 20x EML's share of FY27E VECV profit. In the base case that is 20 × ₹1,650 cr × 54.4% = ₹17,952 cr, or ₹654 per EML share (13% of the DCF value today). The 20x multiple and the ₹1,650 cr profit are our assumptions; no listed-peer set was in our input pack. In our DCF the EML operating cash flows exclude VECV profit, so there is no double count. Management on the Q1 call said the focus is on electric vehicles and that no separation or listing of VECV has crystallised; an analyst raised the idea of unlocking value.

7. Financial analysis

7.1 Growth and profit

Consolidated net sales rose from ₹7,033 cr in FY17 to ₹23,408 cr in FY26 (14.3% a year) and net profit from ₹1,667 cr to ₹5,515 cr (14.2%). Growth was not smooth: sales fell 6.6% in FY20 and 4.7% in FY21 before a rebound of 18% in FY22, 40% in FY23, 15% in FY24, 14% in FY25 and 24% in FY26. Profit grew faster than sales in FY22–FY25 as operating leverage and rising other income lifted margins, then more slowly in FY26 (+16.5% on sales +24.0%) as material costs and depreciation rose.

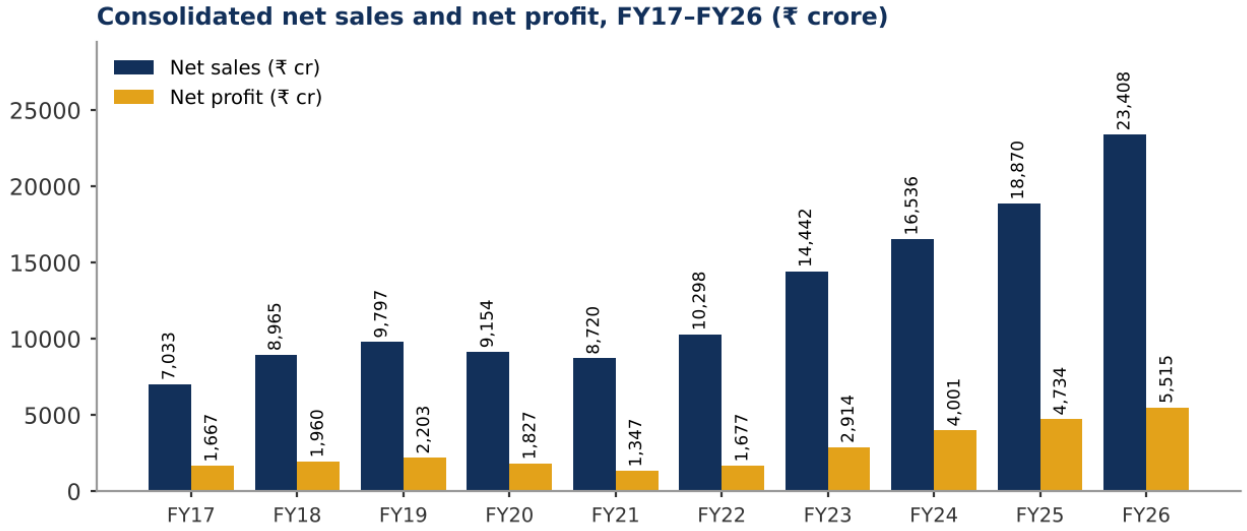


Figure 9: Consolidated net sales and net profit, FY17–FY26. Source: Screener.

	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales growth	–	+27%	+9%	-7%	-5%	+18%	+40%	+14%	+14%	+24%
PAT growth	–	+18%	+12%	-17%	-26%	+24%	+74%	+37%	+18%	+16%
PAT margin	24%	22%	22%	20%	15%	16%	20%	24%	25%	24%
Tax rate	30%	30%	33%	22%	25%	24%	23%	23%	20%	22%
EPS (₹)	61	72	81	67	49	61	107	146	173	201

Source: Screener; ratios our calculation.

7.2 Margins and cost structure

Operating margin (Screener "operating profit" over net sales) was 30.9% in FY17, fell to 20.5% in FY21 (pandemic year, with employee cost at 9.7% of sales and depreciation at 5.2%) and recovered to 26.2% in FY24; FY26 was 24.7%. Material cost, net of inventory change, is the main cost line: 54.4% of sales in FY24, 54.6% in FY25 and 55.8% in FY26, against a low of 51.6% in FY19. The 1.2-point rise in FY26 is the commodity effect that management described through the year; selling and administration cost eased from 8.8% to 8.1% of sales on operating leverage and employee cost to 7.0%.

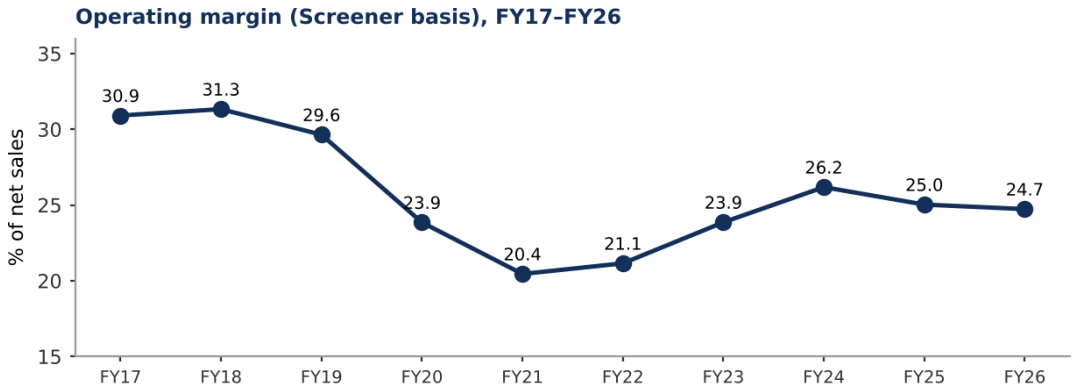


Figure 10: Operating margin by year. Source: Screener.

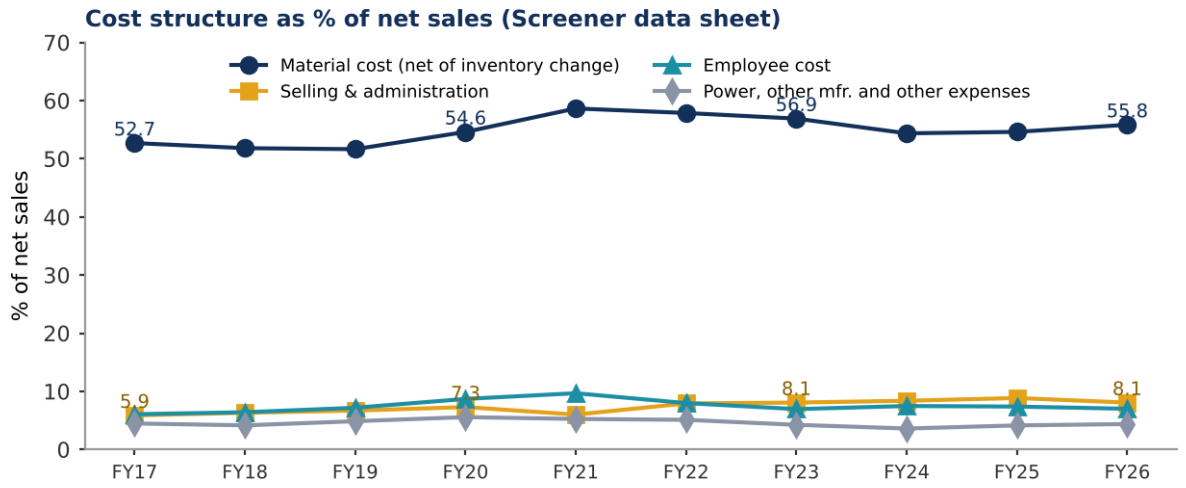


Figure 11: Cost structure as a percentage of net sales. Source: Screener data sheet; our calculation.

% of net sales	FY19	FY21	FY23	FY24	FY25	FY26
Material (net of inventory change)	51.6%	58.6%	56.9%	54.4%	54.6%	55.8%
Employee cost	7.2%	9.7%	6.9%	7.5%	7.4%	7.0%
Selling and administration	6.7%	6.0%	8.1%	8.4%	8.8%	8.1%
Power, other manufacturing, other expenses	4.9%	5.2%	4.2%	3.6%	4.1%	4.4%
Operating margin	**29.6%**	**20.4%**	**23.9%**	**26.2%**	**25.0%**	**24.7%**
Depreciation	3.1%	5.2%	3.6%	3.6%	3.9%	3.6%

Source: Screener data sheet; our calculation. Components do not sum exactly to 100% minus margin because of rounding and classification in the source.

7.3 Quality of profit: operating versus treasury and VECV

Other income was ₹2,225 cr in FY26 – 31% of profit before tax, up from 21% in FY19 and 24% in FY23. It has three parts: treasury income on a ₹19,091 cr portfolio of cash and investments, the share of VECV profit, and minor items. We decompose FY26 pre-tax profit of ₹7,102 cr as operating profit after depreciation and interest of about ₹4,877 cr (69%), treasury and other income of about ₹1,426 cr (20%) and the share of VECV profit of about ₹799 cr (11%). The VECV figure is the sum of the quarterly EML shares disclosed on the calls (₹157 cr, ₹135 cr, ₹183 cr) plus 54.4% of the Q4 profit of ₹595.8 cr; treasury and other is the residual. This is our derivation, not a company-reported split.

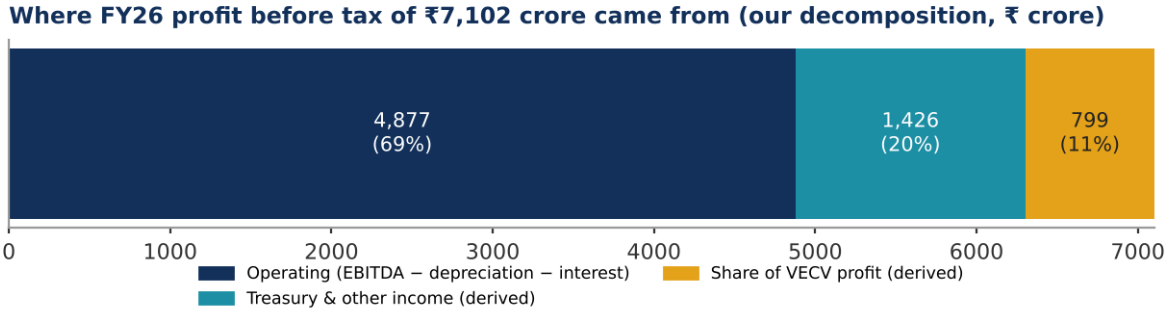


Figure 12: FY26 pre-tax profit by source (our decomposition). Source: Screener; company calls; our calculation.

The implication for valuation is that roughly 31% of FY26 profit is earned on assets (cash and a JV stake) that a DCF of the RE operating business excludes; we add them back separately (cash at book value, VECV at 20x profit) rather than capitalising them at the RE multiple.

7.4 Quarterly trend

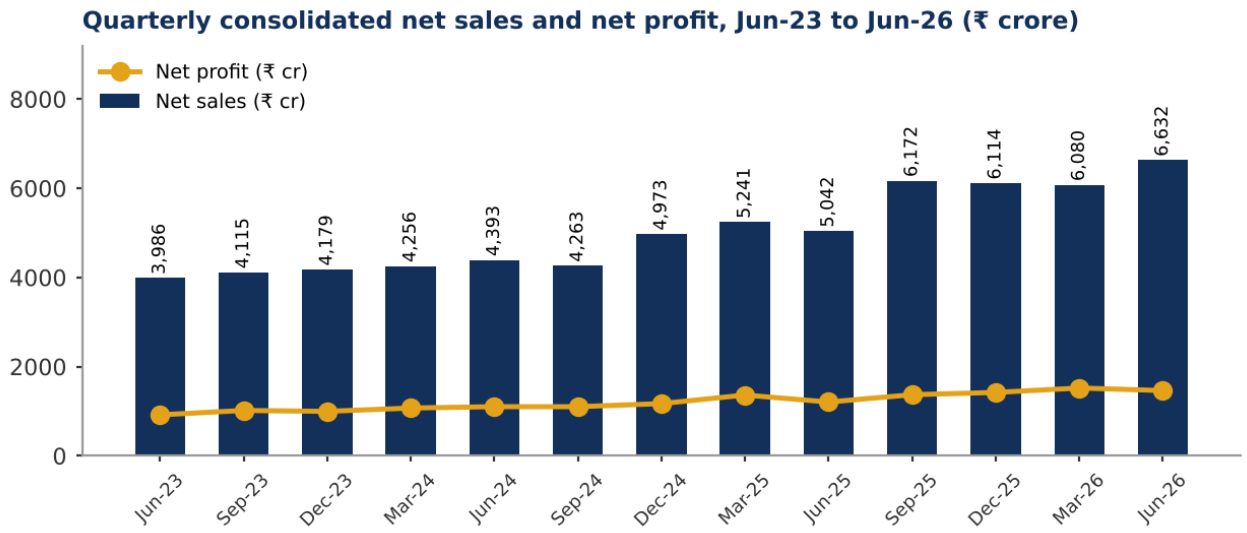


Figure 13: Quarterly consolidated net sales and net profit. Source: Screener (quarterly sheet and results screenshot).

₹ crore	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Net sales	**4,256**	**4,393**	**4,263**	**4,973**	**5,241**	**5,042**	**6,172**	**6,114**	**6,080**	**6,632**
YoY	–	–	–	–	+23%	+15%	+45%	+23%	+16%	+32%
Operating profit	1,129	1,165	1,088	1,201	1,258	1,203	1,512	1,557	1,514	1,591
margin	26.5%	26.5%	25.5%	24.2%	24.0%	23.9%	24.5%	25.5%	24.9%	24.0%
Other income	437	457	468	452	628	603	486	465	675	634
Depreciation	165	169	180	179	201	198	200	211	232	278
Profit before tax	1,385	1,441	1,362	1,461	1,669	1,593	1,779	1,793	1,937	1,925
Net profit	**1,070**	**1,101**	**1,100**	**1,170**	**1,362**	**1,205**	**1,369**	**1,421**	**1,520**	**1,463**
YoY	–	–	–	–	+27%	+9%	+24%	+21%	+12%	+21%
EPS (₹)	39.1	40.2	40.1	42.7	49.7	44.0	49.9	51.8	55.4	53.3

Source: Screener quarterly results; EPS from the Screener results screenshot; ratios our calculation.

Operating margin has drifted from 26.5% in March and June 2024 to 24.0% in June 2026, a decline of about 250 basis points over nine quarters, while sales per quarter rose from ₹4,256 cr to ₹6,632 cr. The mechanism is visible in the cost structure: material cost per rupee of sales has risen with commodity costs and mix, partly offset by price rises (0.85% in January 2026 on certain models and 1.75% on most 350cc models in April 2026).

7.5 Per-unit economics

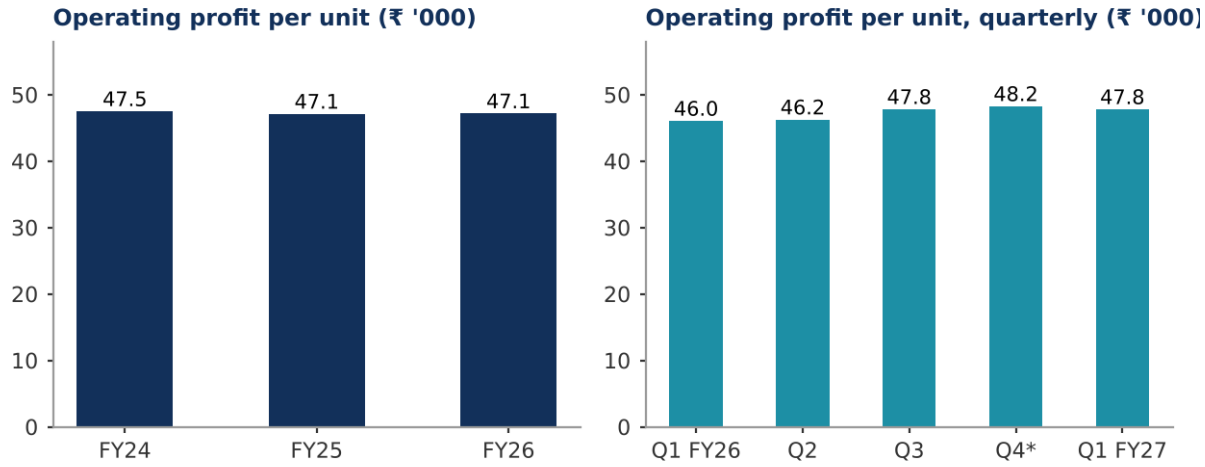


Figure 14: Operating profit per motorcycle sold, annual and quarterly (consolidated operating profit ÷ RE volume; Q4 FY26 volume derived). Source: Screener; company volumes; our calculation.

On this blunt measure (consolidated operating profit divided by RE motorcycles sold, which attributes all profit, including allied revenue, to the motorcycle) operating profit per unit was ₹47,470 in FY24, ₹47,090 in FY25 and ₹47,140 in FY26 – broadly flat for three years – and about ₹47,800 in Q1 FY27 (₹1,590.6 cr ÷ 332,940). Per-unit profit stability while volume grew 35% over two years shows that price, mix and allied income have so far absorbed commodity inflation; the test of our margin assumptions is whether that stability holds as international and allied mix shifts and depreciation rises.

7.6 Cash flow and capital allocation

Operating cash flow was ₹4,805 cr in FY26 (87% of net profit; 84% in FY25, 93% in FY24); net investing outflow of ₹2,834 cr includes both capex and purchases of investments, so "operating cash flow less investing cash flow" of ₹1,971 cr is only a loose proxy for free cash flow. Financing outflow of ₹1,983 cr is mainly dividends paid (FY25 dividend ₹1,919 cr; the ₹2,249 cr declared for FY26 is payable). Over FY17–FY26 cumulative operating cash flow was ₹26,009 cr and dividends declared ₹8,870 cr.

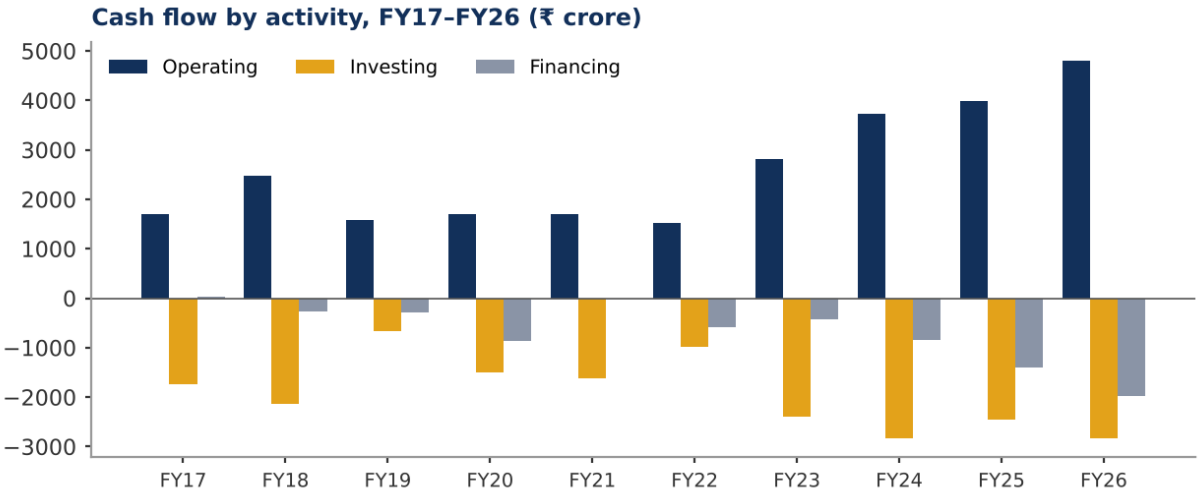


Figure 15: Cash flow by activity. Source: Screener.

Dividend payout has risen from 15–19% of profit in FY17–FY20 to 34–35% in FY21–FY24 and about 41% in FY25 and FY26. The recommended ₹82 a share for FY26 (about 1.1% yield at the current price) leaves ample room; the company retains about 59% of profit while carrying ₹19,091 cr of cash and investments, which is more than it needs for the ₹958 cr Cheyyar and ₹1,225 cr Tada programmes combined.

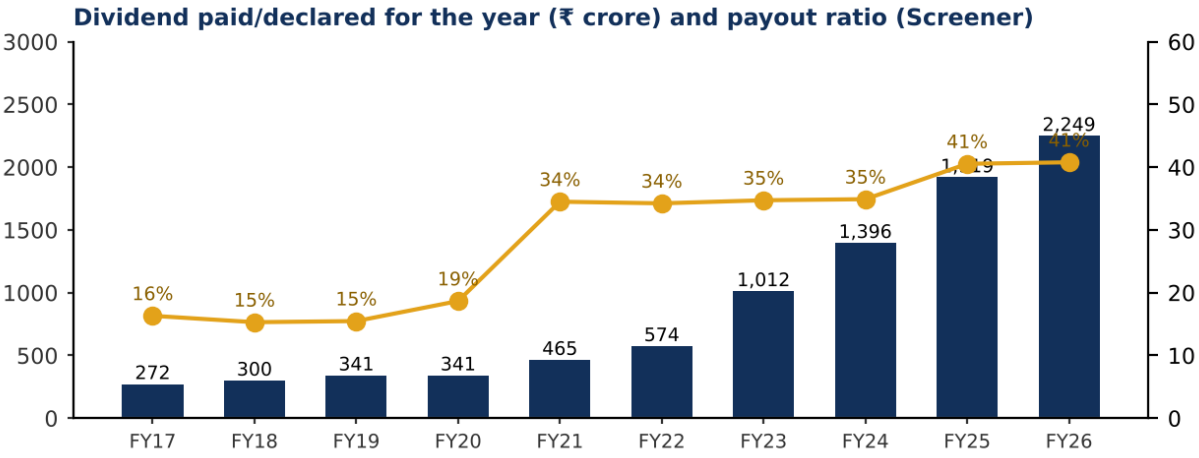


Figure 16: Dividend and payout ratio. Source: Screener.

7.7 Balance sheet

Total assets of ₹32,164 cr at March 2026 comprise investments ₹17,496 cr (54%), net block ₹3,852 cr (12%), capital work in progress ₹736 cr and other assets ₹10,080 cr, including inventory of ₹1,968 cr and receivables of ₹354 cr. Equity is ₹25,100 cr (book value ₹914 a share); borrowings are ₹514 cr (debt to equity 0.02). Inventory days (Screener inventory over sales) are about 31 and receivable days about 6, which indicates little credit extended to customers. The business is asset-light relative to profit: net block plus capital work in progress is 14% of total assets.

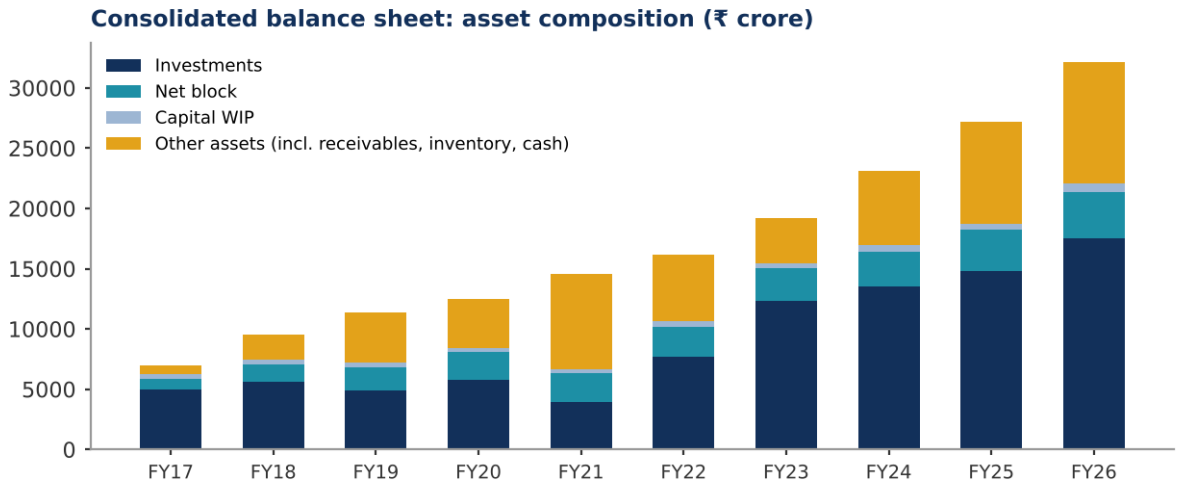


Figure 17: Consolidated asset composition. Source: Screener.

7.8 Returns and valuation history

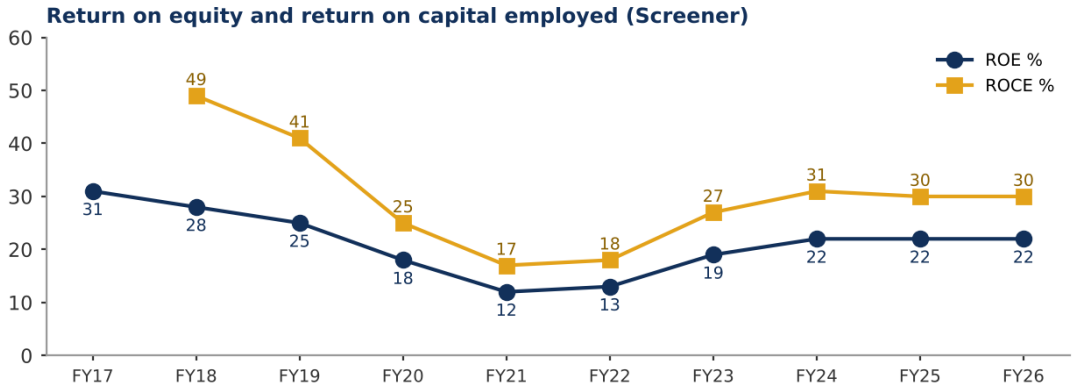


Figure 18: ROE and ROCE. Source: Screener.

ROE fell from 31% in FY17 to 12% in FY21 as the cash pile grew and profit slumped, and recovered to 22% in FY24–FY26; ROCE recovered from 17% to 30%. The cash pile (about 70% of equity at FY26 if cash and investments are measured against equity) dilutes ROE: operating ROCE on RE alone would be higher than reported (we do not estimate it).

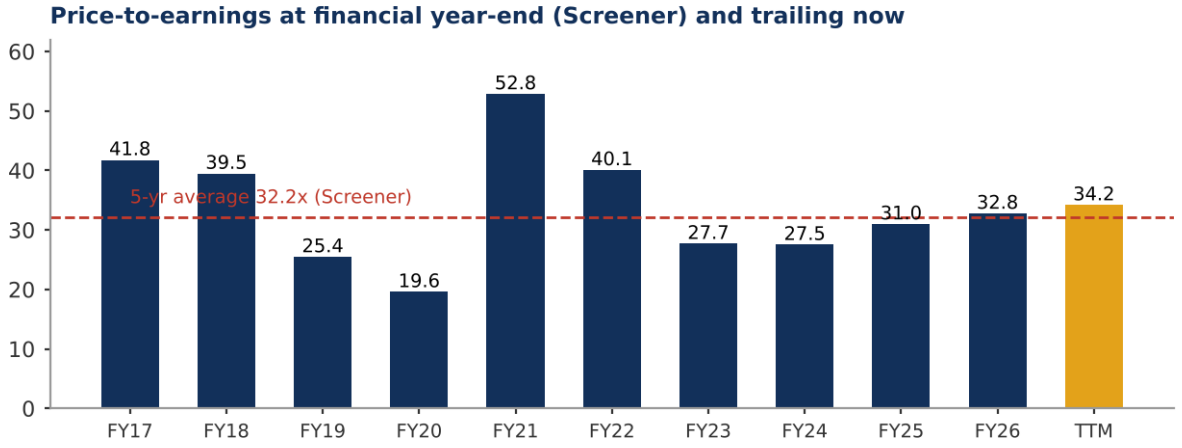


Figure 19: Price-to-earnings at each financial year-end and trailing now. Source: Screener.

The year-end P/E ranged from 19.6x (FY20) to 52.8x (FY21, depressed earnings), with 27.5–32.8x in FY23–FY26 and a trailing 34.2x now; Screener shows a five-year average of 32.2x. The stock has therefore re-rated modestly above its post-pandemic range.

7.9 Share price versus earnings, FY17–FY26

Year-end share price rose from ₹2,559 (FY17) to ₹6,586 (FY26), 11.1% a year, against EPS growth of 14.1% a year (Screener). The difference is multiple compression: the year-end P/E fell from 41.8x to 32.8x (and was 19.6x at the FY20 trough and 52.8x at the FY21 peak on depressed earnings). Including dividends, the total return was a little higher than the price return; the dividend yield at year-end prices was between about 0.4% and 1.3% in FY17–FY26 (dividends declared divided by shares and the Screener year-end price, our calculation).

	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Year-end price (₹)	2,559	2,837	2,055	1,310	2,604	2,457	2,949	4,019	5,348	6,586
EPS (₹)	61.3	71.9	80.8	66.9	49.3	61.3	106.5	146.1	172.7	201.1
P/E (x)	41.8	39.5	25.4	19.6	52.8	40.1	27.7	27.5	31.0	32.8
Dividend per share (derived, ₹)	10.0	11.0	12.5	12.5	17.0	21.0	37.0	51.0	70.0	82.0
Dividend yield at year-end price	0.4%	0.4%	0.6%	1.0%	0.7%	0.9%	1.3%	1.3%	1.3%	1.2%

Source: Screener; dividend per share derived as dividends declared divided by shares (equity capital ₹ crore ÷ ₹1 face value). The FY26 derived ₹82.0 matches the AR FY26 recommendation; the earlier years are derived and may differ slightly from declared amounts.

8. Q1 FY27 results review (quarter ended 30 June 2026)

EML reported its best-ever first quarter on 29 July 2026: consolidated revenue ₹6,632 cr (+31.5% year on year), EBITDA ₹1,591 cr (+32.2%) and profit after tax ₹1,463 cr (+21.3%). Royal Enfield sold 332,940 motorcycles, a record for any quarter (+27.4%): India 301,174 (+31.6%) and international 31,766 (−2.4%). Net profit growth (+21%) lagged EBITDA growth (+32%) because depreciation rose 40% (₹278 cr against ₹198 cr) and other income grew only 5% (₹634 cr against ₹603 cr).

₹ crore	Q1 FY27	Q1 FY26	YoY	Q4 FY26	QoQ
Volume (units)	332,940	261,326	+27.4%	313,811	+6.1%
Net sales	**6,632**	**5,042**	**+31.5%**	**6,080**	**+9.1%**
Operating profit	1,591	1,203	+32.2%	1,514	+5.1%
Operating margin	24.0%	23.9%	+13 bps	24.9%	-91 bps
Other income	634	603	+5.1%	675	-6.1%
Depreciation	278	198	+40.1%	232	+19.8%
Interest	21.6	14.9	+45.3%	20.2	+7.2%
Profit before tax	1,925	1,593	+20.9%	1,937	-0.6%
Tax	463	388	+19.3%	417	+11.0%
Net profit	**1,463**	**1,205**	**+21.3%**	**1,520**	**-3.8%**
EPS (₹)	53.28	43.95	+21.2%	55.41	-3.8%

Source: Screener quarterly results; volumes from company calls; ratios our calculation. Q4 FY26 volume is derived (FY26 total less Q1–Q3).

8.1 What management said drove the margin

- **Commodities:** aluminium, crude oil, steel, copper and precious metals all rose; the net impact in the quarter was about 4–4.5% (CFO). Value engineering gave about 0.4%. The price rise of 1.75% on most 350cc motorcycles in April 2026 gave about 1.2%, and mix about 0.2%. Management said it could not give commodity guidance but that costs were softening and that advance purchasing of critical parts was under way.
- **Realisation:** revenue per unit rose 2.8% from Q4 FY26: 1.2% from the April price increase, about 1% from the higher international share (15.3% of revenue vs 13.7%), about 0.4% from currency and about 0.6% from allied revenue (CFO).
- **Other expenses** were about 7% lower: Q4 FY26 had a ₹20 cr Cricket World Cup campaign and ₹10 cr for two launches that did not recur, and a further ₹22 cr was saved by controlling marketing spend. Management said brand-building and marketing activation would ramp up again, so some of this will reverse.
- **Depreciation** rose because average gross block was up about ₹346 cr and the Flying Flea launch began depreciation; management did not call it a new run-rate, but our estimates assume it is.
- **Subsidiaries**: the gap between standalone and consolidated revenue widened to more than ₹400 cr in the quarter from an average of about ₹200 cr in prior quarters, which the CFO attributed to subsidiary growth (Brazil and others), partly offset by India export revenue booked to subsidiaries.

8.2 Reading the quarter

We read Q1 FY27 as proof that volume, not margin, is currently doing the work. EBITDA grew 32% because sales grew 32% at a flat margin; the margin fell about 90 basis points from Q4 FY26 with commodity costs the main drag, as management described. Two items matter for the next quarters. First, the festive-season inventory build: with dealer stock at 10–12 days, wholesale in Q2 and Q3 FY27 depends on how fast the second Cheyyar module and direct billing deliver. Second, the cost of that capacity: depreciation was ₹278 cr in Q1 against ₹198 cr a year earlier and ₹232 cr in Q4 FY26, and further capitalisation will add to it. We keep margin at 23.8% for FY27E, slightly below the Q1 print.

9. Four earnings calls: what management said and how it played out

This section digests the four calls in the input pack, in order. It is a record of statements, not of our views; where later events confirm or contradict a statement we say so.

9.1 Q2 FY26 call (13 November 2025)

- **Results:** revenue ₹6,172 cr (+45%), EBITDA ₹1,512 cr (+39%), PAT ₹1,369 cr including ₹135 cr share of VECV. Volume 327,067 (India 292,703; international 34,364).
- **Festive:** best-ever September–October of about 2.49 lakh motorcycles; the GST reform made motorcycles up to 350cc more accessible. Model growth in the quarter: Classic 350 about 24.5%, Meteor 350 about 30%, Hunter about 41%, Bullet 350 Battalion Black about 70%.
- **Capacity:** declared capacity 1.2 million had been ramped to about 1.3–1.35 million by debottlenecking; an additional module from Q1 FY27.
- **Other:** more than 2,000 India stores; mid-size share about 84%; RE rank 2 in mid-size in the UK, Argentina, Thailand, Korea and Brazil; 98% of plant energy from renewable sources; Golden Peacock award for governance.
- **VECV:** record Q2 of 21,901 units (+5.4%); EBITDA ₹479 cr (8.0% vs 7.3%); PAT ₹249 cr; investment of ₹544 cr announced on 8 October 2025 for a Volvo 12-speed automated manual transmission plant near Ujjain, Madhya Pradesh, mostly for export to Volvo Group Asia and Oceania.

9.2 Q3 FY26 call (10 February 2026)

- **Results:** revenue ₹6,114 cr (+23%), EBITDA ₹1,557 cr (+30%), PAT ₹1,421 cr including ₹183 cr VECV share. Volume 325,773 (+21%; India 300,426, +24%; international 25,347 vs 27,068).
- **Margin:** the CFO said that over a 12-quarter period volumes had compounded at 14%, revenue 18%, gross profit 20% and EBITDA 22%, and put the quarter's improvement down to operating leverage, timing of marketing spend, model mix and value engineering.
- **Capex:** Board approved ₹958 cr for a Cheyyar brownfield expansion to take capacity to 2.0 million a year by FY27-28 from the 1.2 million declared (about 1.45 million build capacity). Management said base capacity must be created in India because CKD kits ship from India.
- **Channels and community:** Amazon India partnership following Flipkart; Motoverse with over 40,000 attendees; Continental GT Cup with more than 6,000 registrations; 93% of electricity consumed at facilities is green and Scope 1 and 2 emission intensity is down 80%.
- **US trade:** after the trade deal the US rate was 18%, with the weighted average tariff 41–42% while steel and aluminium duties were unresolved.
- **VECV:** record Q3 of 26,086 units (+24.2%); revenue ₹7,019 cr; EBITDA ₹652 cr; PAT ₹338 cr; LMD share 34.5%; exports 2,056 (+72.5%); buses 3,624 (−3.3%, tender timing and lost institutional orders).

9.3 Q4 FY26 call (22 May 2026)

- **Results:** revenue ₹6,080 cr, EBITDA about ₹1,514 cr, PAT about ₹1,520 cr; FY26 revenue ₹23,408 cr, EBITDA ₹5,785 cr, PAT ₹5,515 cr; dividend ₹82 recommended. Combined EML and VECV revenue exceeded ₹50,000 cr for the first time.
- **Volumes:** 12.27 lakh motorcycles in FY26; Himalayan 450 retail up 53% to over 38,000; Meteor 350 cumulative sales above 6 lakh; Brazil up 71%.
- **Events:** Flying Flea C6 launch in April 2026; Cheyyar and Andhra Pradesh capacity plans; Volvo Financial Services JV (up to ₹750 cr for 50%); B. Srinivas appointed MD and CEO of VECV; two-to-three-week disruption from elections, migrant labour movement and LPG availability.
- **VECV:** Q4 revenue ₹8,281 cr, EBITDA ₹922 cr, PAT ₹596 cr; FY26 revenue ₹27,077 cr, EBITDA ₹2,563 cr, PAT ₹1,471 cr; FY26 units: Eicher heavy-duty 25,155 (+14.1%, share 9.1%), LMD 46,195, buses 18,651, Pro X 2,452 (726 electric), exports 6,933 (+33.9%), spares ₹3,045.5 cr (+13.9%).

9.4 Q1 FY27 call (29 July 2026)

See Sections 6 and 8 for the Q1 FY27 detail: record volume 332,940, revenue ₹6,632 cr, EBITDA ₹1,591 cr, PAT ₹1,463 cr; capacity at about 1.5 million with the Tada Phase 1 approval; the margin bridge; and the international and allied revenue statements.

9.5 Capacity statements over time

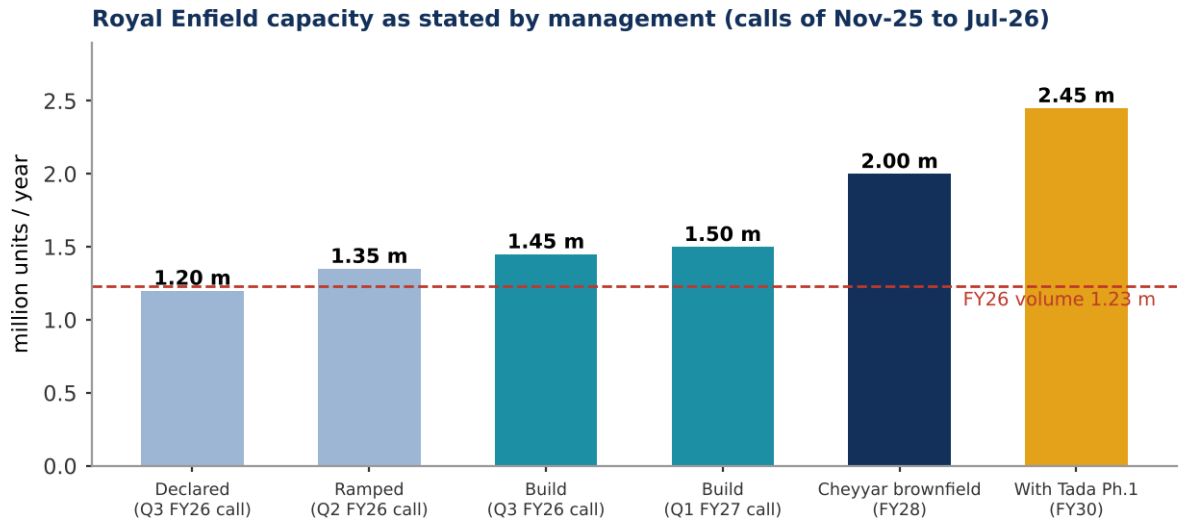


Figure: Royal Enfield capacity as stated by management in successive calls. Source: Q2 FY26, Q3 FY26, Q4 FY26 and Q1 FY27 calls; AR FY25 (utilisation).

Call	Statement on capacity	Investment cited
Q2 FY26 (Nov-25)	Declared 1.2m; ramped to 1.3–1.35m; extra module from Q1 FY27	Module of about ₹100 cr (per Q3 call)
Q3 FY26 (Feb-26)	Build capacity 1.45m soon; 2.0m by FY27-28 (analyst: start of FY29, accepted by management)	₹958 cr Cheyyar brownfield
Q4 FY26 (May-26)	Cheyyar work started; greenfield in Andhra Pradesh decided	₹958 cr (Cheyyar)
Q1 FY27 (Jul-26)	About 1.5m build capacity; 2.0m Cheyyar by FY28; 2.45m by FY30	₹1,225 cr Tada Phase 1 (4.5 lakh units a year)

Source: company calls. The AR FY25 shows capacity utilisation rising from 52% (FY21) and 50% (FY22) to 69% (FY23), 77% (FY24) and 84% (FY25) against the 1.2 million declared capacity, with record production of 1,011,126 motorcycles in FY25 across all plants.

Reading the sequence: the declared figure of 1.2 million (used since before FY26) was exceeded in practice within months by debottlenecking and modular additions; each call moved the achievable figure up (1.35, 1.45, 1.5 million) and the long-term target up (2.0 then 2.45 million). The pattern suggests management's capacity statements have so far been conservative relative to realised volume (FY26 volume of 1.23 million sat above the declared 1.2 million), which supports our base-case volume path but does not guarantee out-year timing.

9.6 Annual-report digest: FY24 to FY26

	FY24 (AR 2023-24)	FY25 (AR 2024-25)	FY26 (AR 2025-26)
RE volume (units)	912,003	1,002,936 (table)	1,227,977
Domestic volume (units)	834,794	902,757	1,107,343
Share of motorcycles / >125cc / mid-size	7.2% / 29.7% / 88.5%	7.3% / 30.1% / 87.1%	8.4% / 31.3% / 86.8%
EML revenue growth	+14.5% to ₹16,536 cr	₹18,870 cr (Screener)	₹23,408 cr
India touchpoints	n/a in our extract	2,003 (901 studio, 1,102 large-format)	2,074+ stores
Capacity utilisation	77%	84%; record production 1,011,126	n/a in our extract
VECV units	85,560 (record; LMD share 34.6%)	90,157	103,404 (production 102,452)
Notable	Nepal CKD started June 2023; RE rank 2 in FADA survey (2023)	Guerrilla 450, Bear 650, Classic 650, Goan Classic integrated	Flying Flea C6; Cheyyar and Tada capacity; VFS JV

Source: Annual Reports 2023-24, 2024-25 and 2025-26; Screener where marked. Blank or "n/a" cells mean the item was not found in the extracts we read.

Royal Enfield platforms and motorcycles (AR FY26)

Platform	Motorcycles
350cc	Bullet, Classic, Goan Classic, Hunter, Meteor
440cc	Scram 440
450cc	Guerrilla, Himalayan
650cc	Classic, Continental GT, Interceptor, Bear, Shotgun, Super Meteor
Electric (Flying Flea)	C6 launched April 2026; S6 scrambler unveiled at EICMA

The Annual Report counts 4 platforms and 14 motorcycles. Management on the Q1 FY27 call said the 350cc J-platform now has scale and is where value-engineering effort is concentrated.

9.7 People, sustainability and governance

- **Governance.** Siddhartha Lal is Executive Chairman, Vinod Aggarwal Vice Chairman (EML) and Chairman of VECV, B. Govindarajan Managing Director (EML) and CEO of Royal Enfield, B. Srinivas MD and CEO of VECV (from March 2026) and Vidhya Srinivasan CFO (call transcripts). The AR FY26 states that the Board has a majority of independent directors. EML received the Golden Peacock Award for Excellence in Corporate Governance 2025 (Q2 FY26 call).

- **People.** The BRSR scope in AR FY26 (headquarters at Chennai) records 3,321 permanent employees (10% women) and 185 non-permanent employees; VECV runs an all-women final-assembly line and an "Iron Women" truck-driver training initiative.
- **Energy and emissions.** Management cited 98% of plant energy from renewable sources (Q2 FY26 call) and 93% of electricity consumed from green sources, an 80% reduction in Scope 1 and 2 emission intensity and a Water Balance Index of 4.6 (Q3 FY26 call). The two renewable-share figures describe different measures.
- **Customer and dealer metrics.** JD Power ranked RE highest in two-wheeler initial quality; FADA Dealer Satisfaction Survey ranked RE number 1 among two-wheeler OEMs (from number 2 in 2023, per AR FY24); Brand Finance ranked RE third strongest automobile brand in 2026 (Q4 FY26 call).

We make no adjustment to valuation for governance or sustainability; they are mentioned because they bear on franchise durability and on the quality of disclosure we rely on.

9.8 Management statements register: items to track

Statement	Source call	Status at 22-Oct-26	What would confirm
Second Cheyyar module to start in first week of October 2026	Q1 FY27	Open; not verified in our sources	Daily production above 5,100 on Q2 FY27 call
Cheyyar brownfield to reach 2.0m capacity by FY28	Q3 FY26, Q1 FY27	On track per Q1 FY27 call	Module-by-module updates
Tada Phase 1 (4.5 lakh units a year) by FY30; ₹1,225 cr	Q1 FY27	Approved 29-Jul-26	Land, approvals, first module date
Direct billing to dealers to save 4–5 days of transit	Q1 FY27	Under way	Dealer stock above 12 days after festive
Indonesia CKD decision during Jul–Sep 2026 quarter	Q1 FY27	Open	Partner announcement
Flying Flea: ten Bengaluru touchpoints, then about six cities	Q1 FY27	Open (first store opened)	Store count; delivery run-rate
Volvo Financial Services JV, up to ₹750 cr for 50%	Q4 FY26	Intent announced 21-May-26	Definitive agreement and closing
Commodity cost softening	Q1 FY27	Qualitative; no guidance	Q2 FY27 gross margin
Marketing spend to ramp up again	Q1 FY27	Open	Other expenses vs ₹ run-rate of Q1 FY27
PARIVARTAN fleet-modernisation MoU (VECV)	Q1 FY27	Implementation being finalised	Orders from the scheme
Value-engineering benefit continuing on the J platform	Q1 FY27, Q3 FY26	Q1 FY27 benefit about 0.4% of sales	Repeat in Q2 FY27

Source: company calls; status from our reading as of the date shown; items marked open could not be verified in the input pack.

9.9 What analysts asked: recurring themes

- **Margins (every call):** gross-margin drivers, commodity pass-through, other expenses and how much of any benefit reverses.
- **Capacity and inventory (Q2–Q1 FY27):** how fast modules arrive, daily production, dealer stock before festive season, vendor readiness for three-shift operation.
- **GST and demand durability (Q2, Q3, Q1 FY27):** how much of growth is the GST cut, the high base from September–October 2026, rural and government-employee exposure, first-time versus upgrader mix.
- **International (all calls):** Brazil, Europe's adjustment year, the US tariff position, Indonesia quota and luxury tax, ASEAN CKD.
- **Higher-cc models (Q3 FY26 to Q1 FY27):** recovery of the 450cc and 650cc platforms after the GST change and the weaker models (Super Meteor, Himalayan, Shotgun).
- **VECV (Q4 FY26, Q1 FY27):** bus share, exports, SCV entry, the financing JV and the possibility of separating VECV, which management said had not crystallised.
- **Costs of growth (Q1 FY27):** depreciation step-up, Flying Flea launch cost, and subsidiary revenue growth.

10. Forecasts and scenarios

Our forecasts are built bottom-up from four drivers: RE volume, revenue per unit, EBITDA margin and a separate line each for treasury income and the share of VECV profit. All are our own assumptions anchored to the Q1 FY27 run-rate and management statements; none is company guidance. We run three scenarios; they are not probability-weighted.

Assumption	Bear	Base	Bull
Volume FY27E → FY31E ('000 units)	1,360 → 1,620	1,440 → 2,090	1,500 → 2,370
Volume CAGR FY26–FY31E	5.7%	11.2%	14.1%
Revenue per unit FY27E (₹ lakh) and annual growth	1.96; 1.5%	1.99; 2.5%	2.01; 3.0%
EBITDA margin FY27E → FY31E	22.0% → 22.0%	23.8% → 24.5%	25.0% → 26.0%
VECV profit FY27E → FY31E (₹ cr, 100% basis)	1,500 → 1,800	1,650 → 2,500	1,750 → 2,950
Treasury and other income FY27E → FY31E (₹ cr)	1,550 → 1,890	1,550 → 1,890	1,550 → 1,890
Depreciation FY27E → FY31E (₹ cr)	1,150 → 1,850	1,150 → 1,850	1,150 → 1,850
Capex FY27E–FY31E (₹ cr, total)	8,700	9,600	10,500
Fade-period growth FY32E → FY36E	6.5% → 5.5%	9.0% → 6.5%	10.0% → 7.5%
Steady-state EBITDA margin (FY32E+)	22.0%	24.5%	26.0%

Source: our assumptions. Tax rate 23.5% (FY26 effective 22.3%, FY25 20.2%; Q1 FY27 24.0%). Share count held at 27.45 crore. Treasury income grows with the cash pile in all scenarios.

10.1 Why these scenarios

- **Base** – volume reaches the stated capacity milestones with a lag (1.44 million in FY27E, 2.09 million in FY31E, a 11.2% compound rate against 19.8% over FY22–FY26); revenue per unit grows 2.5% a year (price, international and allied mix); margin edges up to 24.5%.
- **Bear** – supply or demand disappoints: volume of 1.36 million in FY27E (about the Q1 FY27 annualised run-rate of 1.33 million plus a modest festive uplift) rising to only 1.62 million in FY31E; margin falls to 22.0% as commodity and depreciation pressure persists; VECV profit stays near ₹1,500–1,800 cr.
- **Bull** – Tada and Cheyyar capacity arrive on time, 450/650cc and international (Brazil, Indonesia CKD) accelerate: 2.37 million units by FY31E, margin of 26.0% and VECV profit near ₹2,950 cr.

10.2 Base case projections

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E
Volume ('000 units)	1,440	1,620	1,780	1,940	2,090
Revenue per unit (₹ lakh)	1.99	2.04	2.09	2.14	2.20
Net sales	**28,656**	**33,044**	**37,215**	**41,574**	**45,909**
EBITDA margin	23.8%	24.2%	24.5%	24.5%	24.5%
EBITDA	6,820	7,997	9,118	10,186	11,248
Treasury and other income	1,550	1,630	1,710	1,800	1,890
Share of VECV profit	898	1,006	1,121	1,240	1,360
Depreciation	1,150	1,350	1,500	1,700	1,850
Interest	85	90	95	100	100
Profit before tax	8,033	9,193	10,353	11,426	12,548
Net profit	**6,145**	**7,033**	**7,920**	**8,741**	**9,599**
EPS (₹)	**223.9**	**256.2**	**288.5**	**318.4**	**349.7**
Capex	1,800	2,200	2,000	1,900	1,700

Source: our estimates. Net profit = (EBITDA + treasury and other income + share of VECV profit − depreciation − interest) × (1 − 23.5%).

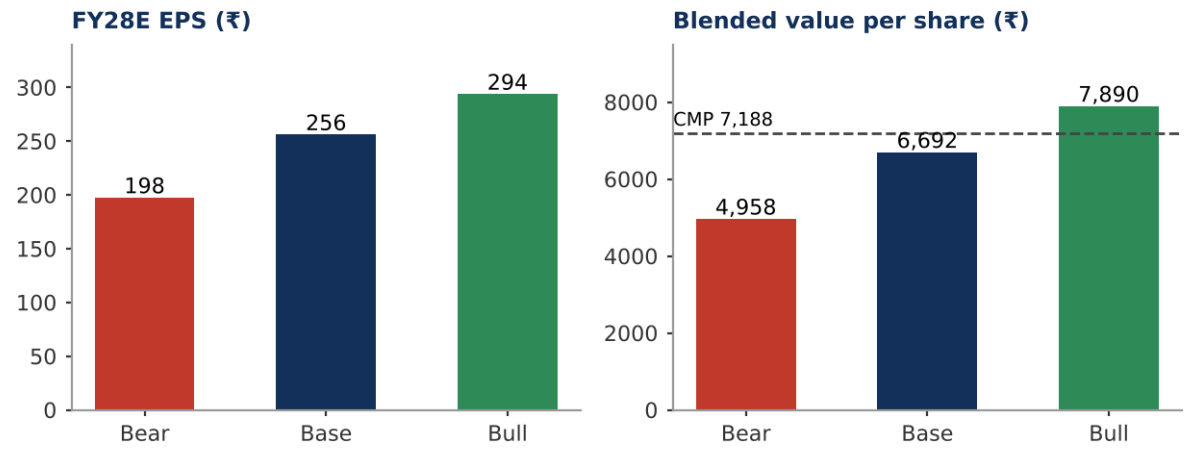


Figure 20: FY28E EPS and blended value per share by scenario against the current price. Source: our model.

10.3 Bear and bull case projections

Bear case

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E
Volume ('000 units)	1,360	1,400	1,460	1,540	1,620
Revenue per unit (₹ lakh)	1.96	1.99	2.02	2.05	2.08
Net sales	**26,656**	**27,852**	**29,481**	**31,563**	**33,700**
EBITDA margin	22.0%	21.8%	22.0%	22.0%	22.0%
EBITDA	5,864	6,072	6,486	6,944	7,414
Treasury and other income	1,550	1,630	1,710	1,800	1,890
Share of VECV profit	816	827	870	925	979
Depreciation	1,150	1,350	1,500	1,700	1,850
Interest	85	90	95	100	100
Profit before tax	6,995	7,089	7,471	7,869	8,333
Net profit	**5,351**	**5,423**	**5,715**	**6,019**	**6,375**
EPS (₹)	**195.0**	**197.5**	**208.2**	**219.3**	**232.2**
Capex	1,700	2,000	1,800	1,700	1,500

Bull case

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E
Volume ('000 units)	1,500	1,750	1,970	2,170	2,370
Revenue per unit (₹ lakh)	2.01	2.07	2.13	2.20	2.26
Net sales	**30,150**	**36,230**	**42,008**	**47,661**	**53,616**
EBITDA margin	25.0%	25.5%	25.8%	26.0%	26.0%
EBITDA	7,537	9,239	10,838	12,392	13,940
Treasury and other income	1,550	1,630	1,710	1,800	1,890
Share of VECV profit	952	1,115	1,278	1,442	1,605
Depreciation	1,150	1,350	1,500	1,700	1,850
Interest	85	90	95	100	100
Profit before tax	8,804	10,544	12,232	13,834	15,485
Net profit	**6,735**	**8,066**	**9,357**	**10,583**	**11,846**
EPS (₹)	**245.4**	**293.8**	**340.9**	**385.5**	**431.5**
Capex	1,900	2,400	2,200	2,100	1,900

Source: our estimates.

10.4 Sensitivity of FY28E EPS

FY28E EPS (₹)	Margin 22.2%	Margin 23.2%	Margin 24.2%	Margin 25.2%	Margin 26.2%
Volume -10% (1,458 '000)	217	226	234	242	250
Volume -5% (1,539 '000)	228	236	245	254	263
Volume +0% (1,620 '000)	238	247	256	265	275
Volume +5% (1,701 '000)	248	258	267	277	287
Volume +10% (1,782 '000)	258	268	278	289	299

Source: our model; base-case revenue per unit, treasury income, VECV profit, depreciation and interest held constant. Each 1 percentage point of EBITDA margin is worth about ₹9 of FY28E EPS; each 5% of volume about ₹11.

10.5 What our FY27E implies for the remaining three quarters

Our FY27E base case	FY27E	Q1 FY27 actual	Implied Q2-Q4 FY27E	Q2-Q4 FY26 actual	Implied growth
Volume (units)	1,440,000	332,940	1,107,060	966,651	+14.5%
Net sales (₹ cr)	28,656	6,632	22,024	18,366	+19.9%
EBITDA (₹ cr)	6,820	1,591	5,230	4,582	+14.1%
EBITDA margin	23.8%	24.0%	23.7%	25.0%	-121 bps
Depreciation (₹ cr)	1,150	278	872	642	+35.8%
Profit before tax (₹ cr)	8,033	1,925	6,107	5,509	+10.9%
Net profit (₹ cr)	**6,145**	**1,463**	**4,683**	**4,310**	**+8.6%**
EPS (₹)	223.9	53.28	170.6	157.1	+8.6%

Source: our estimates less Q1 FY27 reported (Screener, call); Q2–Q4 FY26 from Screener and the calls. Implied Q2–Q4 FY27E is a residual, not a separate forecast.

The residual is a useful check. Our FY27E base case needs volume of about 1,107,060 units over Q2–Q4 (+14.5% on the prior year), sales growth of +19.9% and net profit growth of only +8.6%, because we assume depreciation rises +35.8% and margin is -121 basis points below the prior-year quarters. The profit growth we need is modest against the +21% reported in Q1; if volume delivers and margin merely holds at Q1's 24.0%, FY27E EPS would be above our estimate. We keep the cautious margin because Q1 other expenses were low (₹30 cr of Q4 campaign and launch costs did not recur and a further ₹22 cr was saved on marketing, per the CFO, with marketing due to ramp up again), commodity cost relief is not yet visible, and depreciation will keep rising with capacity.

11. Valuation

11.1 Method

We value EML with two legs and average them: (1) a ten-year discounted cash flow of the Royal Enfield operating business (five explicit years FY27E–FY31E and a five-year fade FY32E–FY36E) plus cash and VECV valued separately; (2) a price-to-earnings multiple of 30x our FY28E EPS. The DCF is rolled forward to give a 12-month value, as is the P/E leg (FY28E EPS is the forward earnings a year from now). A DCF on its own is highly sensitive to the cost of capital and terminal growth; a P/E multiple on its own imports the market's current optimism. Blending the two is a modelling choice, not a precise estimate.

11.2 Cost of capital

Input	Value	Basis
Risk-free rate	7.18%	India 10-year G-sec yield, Trading Economics, 28-Sep-26
Equity risk premium	5.0%	Our assumption
Beta	0.85	Our assumption (no published beta in our input pack)
Cost of equity	11.43%	7.18% + 0.85 × 5.0%
Debt weight	~0%	Borrowings ₹514 cr vs market cap ₹197,300 cr
WACC used	11.4%	Rounded cost of equity
Terminal growth	5.5%	Our assumption; tested at 4.5–6.0% (Section 11.4)

The beta of 0.85 is a judgement: no price series was in the input pack, so we could not compute one. A WACC 1 point higher cuts the base DCF value by about 11% (₹4,552); 1 point lower raises it by about 15% (₹5,909).

11.3 DCF result

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Net sales	28,656	33,044	37,215	41,574	45,909	50,040	54,044	58,097	62,164	66,204
EBITDA	6,820	7,997	9,118	10,186	11,248	12,260	13,241	14,234	15,230	16,220
NOPAT (EBIT × (1−23.5%))	4,338	5,085	5,828	6,492	7,189	7,924	8,558	9,200	9,844	10,484
+ Depreciation	1,150	1,350	1,500	1,700	1,850	1,902	2,054	2,208	2,362	2,516
− Capex	1,800	2,200	2,000	1,900	1,700	2,102	2,270	2,440	2,611	2,781
− Increase in working capital	262	219	209	218	217	207	200	203	203	202
Free cash flow to firm	**3,425**	**4,015**	**5,119**	**6,074**	**7,122**	**7,517**	**8,142**	**8,765**	**9,392**	**10,017**
Discount factor (mid-year)	0.947	0.850	0.763	0.685	0.615	0.552	0.496	0.445	0.399	0.359
Present value	**3,245**	**3,415**	**3,908**	**4,162**	**4,382**	**4,151**	**4,036**	**3,900**	**3,752**	**3,592**

Source: our model (base case). Working-capital build is 5% of incremental sales; in FY32E–FY36E depreciation is 3.8% and capex 4.2% of sales. Cash flows are discounted to 31-Mar-26 at mid-year points.

Valuation bridge (base case)	₹ crore	₹ per share
PV of FY27E–FY36E free cash flow	38,544	1,404
PV of terminal value (g 5.5%; 61% of enterprise value)	60,853	2,217
Enterprise value at 31-Mar-26	99,397	3,621
Rolled forward 0.56 years to 21-Oct-26 at 11.4%	105,592	3,847
+ Cash, equivalents and investments (Mar-26)	19,091	695
− Dividend payable (₹82 × 27.43 cr shares)	−2,249	-82
+ VECV: 20 × share of FY27E profit	17,952	654
Equity value	**140,386**	**5,114**
12-month value (× 1.114)		**5,697**

Source: our model. The cash balance (AR FY26: ₹19,091 cr in cash, equivalents and investments excluding subsidiaries and JVs) is not rolled forward, which is conservative by about the interest earned since March. The equity value per share is on 27.45 crore shares.

Scenario results: bear ₹3,581, base ₹5,114, bull ₹6,252 per share today; 12-month values ₹3,990, ₹5,697 and ₹6,965. Terminal value is 59–63% of enterprise value in all three, typical for a long-duration compounder, which is why we also show sensitivities and use a market-multiple leg.

11.4 Sensitivity

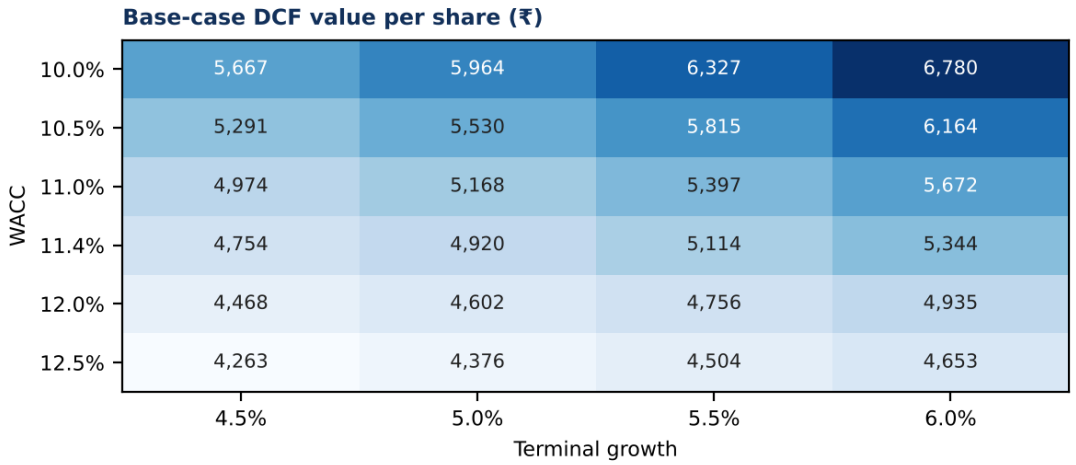


Figure 21: Base-case DCF value per share today (₹) by WACC and terminal growth. Source: our model.

The grid shows the range of outcomes under different discount-rate and terminal-growth assumptions; the highest cell (WACC 10.0%, growth 6.0%) is ₹6,780 – still 6% below the current price – and the lowest (12.5%, 4.5%) ₹4,263.

11.5 Reverse DCF: what the price requires

Holding our base-case operating forecasts, the share price of ₹7,188 requires a WACC of about 9.4% (vs 11.4%) at 5.5% terminal growth, or terminal growth of about 8.2% at an 11.4% WACC. Applying the bull-case cash flows, the price still needs a WACC of about 10.5%. In plain terms: the market is capitalising either lower risk than we assume or growth (volume and margin) above even our bull case, or paying for items outside a conventional DCF (brand optionality, Flying Flea, the financing JV). We think the first is the most likely explanation – a lower risk premium for a high-return, net-cash franchise – and our beta of 0.85 already gives credit for that.

11.6 Price-to-earnings leg and cross-checks

Multiple	Basis	Value per share (₹)
28x	FY28E EPS ₹256.2 (base)	7,174
30x (used)	FY28E EPS	7,686
32.2x	FY28E EPS; Screener five-year average P/E	8,250
34.2x	FY28E EPS; current trailing P/E	8,752

Source: our estimates; Screener (average P/E). The 30x multiple is our judgement – slightly below the five-year average to reflect that margins are no longer expanding.

Peer table. The Screener peer table in the input pack shows (21-Oct-26) Eicher at P/E 33.9x, ROCE 30.5% and three-year sales growth 17.5%; Bajaj Auto 23.6x, 28.2%, 19.9%; TVS Motor 54.8x, 17.4%, 20.6%; Hero MotoCorp 18.7x, 35.2%, 11.6%. Eicher sits in the middle on multiple, near the top on returns and below Bajaj and TVS on growth. The table is a data point, not a valuation: we did not have the peers' own filings to adjust for business mix, so we do not set a target multiple from it.

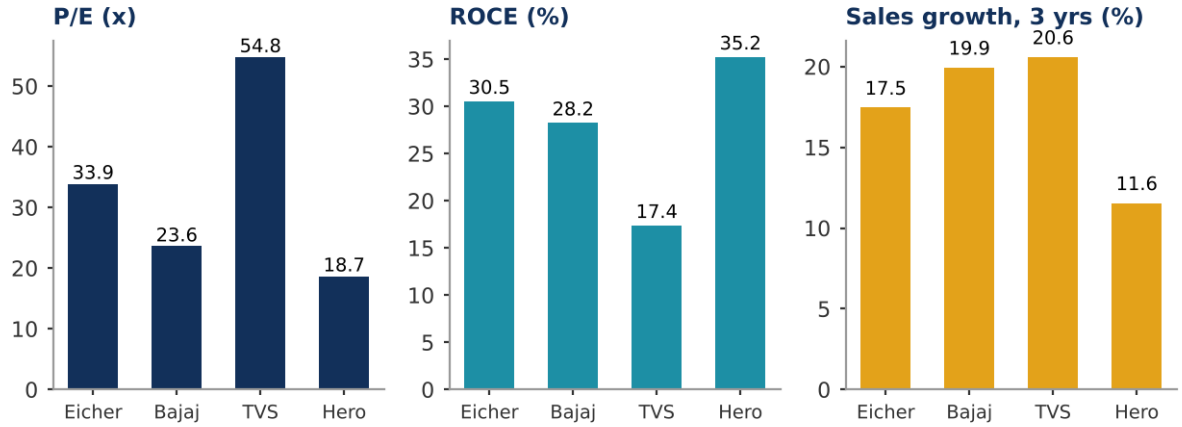


Figure 22: Peer comparison. Source: Screener peer table in input pack (21-Oct-26).

11.7 Target price and rating

	Bear	Base	Bull
DCF 12-month value (₹)	3,990	5,697	6,965
30x FY28E EPS (₹)	5,926	7,686	8,815
Blend (₹)	**4,958**	**6,692**	**7,890**
Price return vs ₹7,188	-31.0%	-6.9%	+9.8%
Plus dividend yield (₹82)	1.1%	1.1%	1.1%
12-month total return	**-29.9%**	**-5.8%**	**+10.9%**

Target price ₹6,700 (base blend ₹6,692, rounded to the nearest ₹50). The base-case total return of -5.6% is inside the Hold band of −10% to +15%. A Hold with a negative expected return is an unusual combination; it reflects that our base case is the central outcome of an asymmetric distribution and that the rating bands are wide (±) around zero. We would regard the shares as fully valued rather than expensive to the point of a Sell.

11.8 Bull and bear arguments

Bull argument	Bear argument
• Supply-constrained: enquiries and bookings are growing faster than volume; second module due October; capacity to 2.45 million by FY30. • Price and mix: 1.75% increase held; international and allied revenue growing faster than the core. • 450/650cc back at pre-GST levels, Bullet 650 and GT Cup add volume; Flying Flea optionality. • ₹19,091 cr cash (₹695 a share) and a VECV stake we value at about ₹654 a share. • Dividend payout rising (41%).	• 34x trailing P/E for a business growing profit in the high teens to low twenties. • Quarterly margin has slipped from 26.5% in March 2024 to 24.0%; depreciation up 40% and rising; commodities volatile. • Industry base turns high from September–October 2026 after the GST-driven step-up. • Out-year volume depends on greenfield capacity (Tada by FY30) and export markets that are currently weak (Europe, US, Indonesia caps). • 31% of profit is treasury and VECV.

11.9 Price levels at which the rating would change

With the target held at ₹6,700 and a ₹82 dividend, the 12-month total return crosses +15% (Buy) at a price of about ₹5,897 and −10% (Sell) at about ₹7,536. The current price of ₹7,188 is 21.9% above the Buy level and 4.6% below the Sell level; the 52-week range of ₹6,439–₹8,233 straddles the Hold band. A change in the target (for example, after Q2 FY27 results) would move both levels.

11.10 Sensitivity and break-even analysis

The chart varies one input at a time around the base case and shows the change in the blended 12-month value (the quantity that sets our target). Green is the favourable side and red the unfavourable.

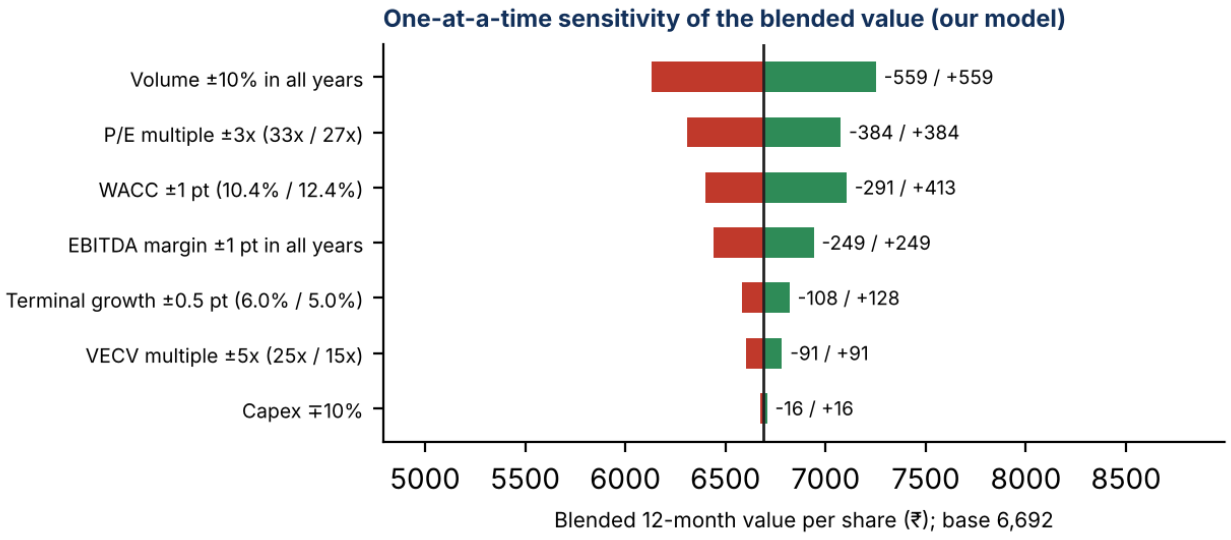


Figure: One-at-a-time sensitivity of the blended value. Source: our model.

The blended value is most sensitive to volume (a swing of ₹1,119 between +10% and −10%), then to the P/E multiple (₹769) and the discount rate (₹704); a one-point margin change swings it by ₹498. Margin matters less than volume because it affects only operating cash flow and EPS, while volume also changes depreciation, capex and the terminal base. Taken alone, only the +10% volume case clears the current price of ₹7,188 (₹7,251); a lower WACC (₹7,105) and the other favourable single moves do not.

Blend (₹) - volume vs margin	Margin -2 pt	Margin -1 pt	Base margin	Margin +1 pt	Margin +2 pt
Volume -15%	5,430 (-24%)	5,641 (-22%)	5,853 (-19%)	6,064 (-16%)	6,276 (-13%)
Volume -8%	5,786 (-19%)	6,015 (-16%)	6,244 (-13%)	6,473 (-10%)	6,702 (-7%)
Volume base	6,194 (-14%)	6,443 (-10%)	6,692 (-7%)	6,940 (-3%)	7,189 (+0%)
Volume +8%	6,602 (-8%)	6,870 (-4%)	7,139 (-1%)	7,408 (+3%)	7,677 (+7%)

Blend (₹) – volume vs margin	Margin -2 pt	Margin -1 pt	Base margin	Margin +1 pt	Margin +2 pt
Volume +15%	6,958 (-3%)	7,244 (+1%)	7,531 (+5%)	7,817 (+9%)	8,103 (+13%)

Source: our model. Volume and margin shifts apply to every forecast year; the P/E leg uses the shifted FY28E EPS. Percentages are the blend against the CMP of ₹7,188.

The best cell in the grid (volume +15% and margin +2 points in every year) gives ₹8,103, +13% the price; 7 of the 25 cells are at or above the price, all of them with volume above base (our base already assumes 17% growth in FY27E) and most also with a higher margin than the 24.0–24.9% of the last two quarters. That is the quantitative content of our Hold: the price is consistent with the upper-right region of this grid rather than with our central case.

12. Risks

The Annual Report FY26 lists seven enterprise risks: brand relevance and dependence on internal-combustion platforms, evolving global regulatory standards, changing consumer behaviour, supply-chain vulnerabilities, geographic concentration and geopolitics, the Digital Personal Data Protection Act and cyber security. We add valuation, execution and model risks of our own.

Risk	What could happen	Evidence in our sources	Effect on our numbers
Commodity and cost inflation	Aluminium, steel, crude, copper and precious metals stay high; price rises lag	Q1 FY27: net 4–4.5% cost hit; 1.75% price rise recovered about 1.2%; management gives no commodity guidance	Each 1 pt of margin ≈ ₹9 of FY28E EPS; bear margin 22%
Capacity and supply execution	Cheyyar modules or Tada slip; vendors cannot support 5,000+ units a day	Dealer stock 10–12 days; modules due Oct-26, FY28, FY30; labour and LPG disruption in Q1	Out-year volume (FY30E–FY31E) depends on Tada
Demand normalisation	Post-GST step-up fades as the base turns high from Sep–Oct 2026	Analyst question, Q1 FY27 call; management said funnel metrics grow faster than volume	Bear volume 1.36m FY27E, 1.62m FY31E
International weakness	Europe, US tariffs, Indonesia quota/luxury tax, currency	Q1 FY27 international volume −2.4%; Europe "adjustment year"; Indonesia 10,000-unit quota; US trade deal at 18% with steel/aluminium unresolved	Intl 14% of FY26 revenue
Brand and product	Dependence on ICE platforms; weak sales of Super Meteor, Himalayan, Shotgun; EV (Flying Flea) uptake uncertain	AR FY26 risk register; Q1 FY27 call	No Flying Flea revenue modelled
Competition	More than 20 launches in the middleweight segment in three years	Q1 FY27 call (management); RE share of >125cc 31.3%	Share assumptions implicit in volume
VECV cyclicality and leadership	Commercial-vehicle cycle; new CEO since March 2026	VECV Q1 FY27 EBITDA margin 8.4% (9.2% a year ago)	VECV ≈ 13% of our equity value
Capital allocation	₹750 cr Volvo Financial Services JV; large cash pile earns treasury yield	Q4 FY26 call	Not modelled; treasury income ₹1,550 cr FY27E
Valuation	Multiple compression from 34x if growth or margins disappoint	Screener P/E history 19.6x–52.8x	30x FY28E; each 1x = ₹256 a share
Model risk	Beta, ERP, terminal growth, VECV multiple are our assumptions; no price series or consensus in the pack	Appendices F, G	DCF range ₹4,263–₹6,780 (Section 11.4)

Source: as shown; effects are from our model.

12.1 Regulatory, data and cyber

The Annual Report describes a compliance-monitoring system, quarterly global compliance reviews, and an advanced-engineering team working ahead of emission regulation; for data it cites the Digital Personal Data Protection Act, 2023 and a cyber-security framework. We found no quantified regulatory exposure in our sources and have not attempted to model one.

13. Catalysts and monitoring list

Item	What to watch	Why it matters
Q2 FY27 results	Volume vs Q1 332,940; operating margin vs 24.0%; depreciation; other income (the date is not in our sources)	Tests our 23.8% FY27E margin and 1.44m volume
Second Cheyyar module (Oct-26)	Daily production above 5,000; dealer stock vs 10–12 days	Festive wholesale and FY27E volume
Festive season (Oct–Nov 2026)	Retail growth against a strong prior year (+26%)	Demand durability after GST step-up
Commodity and price actions	Further price rises; commodity softening that management noted	FY27E–FY28E margin
Indonesia CKD decision	Partner and plan expected during the Jul–Sep quarter	International volume path
Flying Flea roll-out	Bengaluru touchpoints (5 then 5) and next ~6 cities	Optionality; depreciation and launch costs
Volvo Financial Services JV	Completion and capital deployed (up to ₹750 cr)	Capital allocation
Tada Phase 1	Land, approvals and module timing (₹1,225 cr, FY30)	Out-year volume
PARIVARTAN fleet scheme	Implementation details (targets >200,000 vehicles)	VECV volume

Source: Q4 FY26 and Q1 FY27 calls.

13.1 What would change our view

Upgrade triggers	Downgrade triggers
• Price falls below about ₹5,897 with estimates unchanged (total return > +15%). • Operating margin sustains above 25% with volume on the bull path (FY27E volume ≥ 1.5m). • Capacity milestones are delivered ahead of schedule and dealer stock rebuilds without discounting. • International volume recovers (Europe, US, Indonesia).	• Price rises above about ₹7,536 with estimates unchanged (total return < −10%). • Operating margin falls below 22% for two quarters. • Volume growth drops below 10% before capacity is the constraint. • Evidence that 450/650cc recovery stalls or that EV spending dilutes returns.

14. Frequently asked analytical questions

Why Hold if growth is so strong? Because our base-case value (₹6,692) is below the price (₹7,188). Growth is in our numbers and in the 34x multiple; the question is the price paid for it, not the quality of the business.

Why is the DCF so far below the market price? The DCF values RE operating cash flows at an 11.4% WACC and 5.5% terminal growth; the market price needs a WACC near 9.4%. If you believe a lower discount rate is right, the DCF value rises about 15% for each point (Section 11.4).

Is the 11% from VECV a worry? Not a worry, but it matters for multiples: we value VECV at 20x (₹654 a share) rather than at the RE multiple, and we treat cash at book.

What if the 1.5 million capacity is fully used? Our FY27E volume of 1.44 million is already 96% of that build capacity. Growth beyond it needs the second module, then Cheyyar completion (2.0 million by FY28) and Tada.

Why do you use a 5.5% terminal growth rate? It is our assumption, tested from 4.5% to 6.0%. Each 0.5-point change moves the base DCF by roughly ₹160–230 a share; the grid is in Figure 21.

How much of the EPS comes from non-operating items? About 31% of FY26 pre-tax profit (our decomposition): treasury and other income about 20%, VECV share about 11%.

Why does the report quote management statements from calls? Calls were the only source for 2026 volumes by quarter and capacity plans in our pack. Where a number is ambiguous or conflicts across sources we say so (Appendix F).

Appendix A. Annual financials (consolidated, Screener)

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Net sales	**7,033**	**8,965**	**9,797**	**9,154**	**8,720**	**10,298**	**14,442**	**16,536**	**18,870**	**23,408**
Raw material	3,726	4,679	5,270	4,915	5,320	6,107	8,281	9,187	10,470	13,341
Change in inventory	19.6	33.9	210.2	-84.1	205.9	148.6	63.2	197.0	163.5	269.6
Power and fuel	46	52	67	63	53	56	73	81	90	101
Other manufacturing	173	211	263	257	251	332	397	394	454	560
Employee cost	426	574	702	796	843	821	1,002	1,236	1,391	1,638
Selling and administration	412	566	655	667	523	816	1,165	1,385	1,670	1,886
Other expenses	95	109	146	190	154	137	142	121	237	361
Operating profit	**2,174**	**2,809**	**2,904**	**2,183**	**1,783**	**2,178**	**3,446**	**4,329**	**4,723**	**5,789**
OPM	30.9%	31.3%	29.6%	23.9%	20.4%	21.1%	23.9%	26.2%	25.0%	24.7%
Other income	416	536	701	572	482	496	908	1,521	1,994	2,225
Depreciation	154	223	300	382	451	452	526	598	729	840
Interest	3.6	5.3	7.3	18.9	16.4	18.8	28.0	50.9	54.3	71.5
Profit before tax	2,433	3,116	3,297	2,355	1,798	2,203	3,800	5,202	5,933	7,102
Tax	720	936	1,077	527	452	526	886	1,201	1,199	1,587
Net profit	**1,667**	**1,960**	**2,203**	**1,827**	**1,347**	**1,677**	**2,914**	**4,001**	**4,734**	**5,515**
EPS (₹)	61.3	71.9	80.8	66.9	49.3	61.3	106.5	146.1	172.7	201.1
Dividend (₹ cr)	272	300	341	341	465	574	1,012	1,396	1,919	2,249
Payout	16.3%	15.3%	15.5%	18.7%	34.5%	34.2%	34.7%	34.9%	40.5%	40.8%
Year-end price (₹)	2,559	2,837	2,055	1,310	2,604	2,457	2,949	4,019	5,348	6,586
P/E	41.8	39.5	25.4	19.6	52.8	40.1	27.7	27.5	31.0	32.8

Source: Screener export (Eicher Motors.xlsx), consolidated. Operating profit is sales less raw material (net of inventory change) and operating expenses; PBT = operating profit + other income − depreciation − interest, which reconciles for every year.

Check: PBT identity ties to the export for FY20–FY26 within ₹1 cr (PAT = PBT − tax). Net sales growth, PAT growth and margins quoted in the text are computed from this table.

Appendix B. Balance sheet and cash flow (consolidated, Screener)

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity capital	27.2	27.3	27.3	27.3	27.3	27.3	27.4	27.4	27.4	27.4
Reserves	5,318	7,003	8,891	9,954	11,411	12,581	14,963	18,018	21,269	25,073
Borrowings	112	151	187	249	219	108	288	419	458	514
Other liabilities	1,552	2,341	2,281	2,220	2,901	3,424	3,919	4,650	5,420	6,549
Total liabilities	**7,009**	**9,522**	**11,387**	**12,450**	**14,559**	**16,140**	**19,198**	**23,115**	**27,174**	**32,164**
Net block	873	1,502	1,875	2,378	2,433	2,424	2,690	2,914	3,473	3,852
Capital WIP	374	333	450	312	314	505	472	555	491	736
Investments	4,987	5,581	4,923	5,749	3,902	7,721	12,321	13,527	14,791	17,496
Other assets	775	2,106	4,140	4,011	7,909	5,490	3,715	6,119	8,419	10,080
of which inventory	336	395	633	572	875	1,132	1,278	1,410	1,564	1,968
of which receivables	50	68	84	87	158	302	369	374	550	354
of which cash	25	1,212	2,965	2,951	5,830	2,722	766	146	263	256
ROE %	31	28	25	18	12	13	19	22	22	22
ROCE %	–	49	41	25	17	18	27	31	30	30
Cash from operations	1,708	2,482	1,575	1,694	1,691	1,527	2,823	3,724	3,980	4,805
Cash from investing	-1,744	-2,145	-660	-1,508	-1,625	-983	-2,397	-2,834	-2,461	-2,834
Cash from financing	25	-262	-292	-858	-15	-593	-417	-844	-1,399	-1,983
Net cash flow	-10.3	75.2	623.3	-672.5	50.9	-49.6	8.4	45.4	120.6	-11.6

Source: Screener export, consolidated. "Other assets" includes inventory, receivables and cash shown beneath it.

Appendix C. DCF detail by scenario

Bear case

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Net sales	26,656	27,852	29,481	31,563	33,700	35,891	38,044	40,327	42,545	44,885
EBITDA	5,864	6,072	6,486	6,944	7,414	7,896	8,370	8,872	9,360	9,875
Free cash flow to firm	**2,894**	**2,902**	**3,433**	**3,907**	**4,500**	**4,744**	**5,037**	**5,339**	**5,642**	**5,953**
Present value	2,742	2,468	2,621	2,678	2,768	2,620	2,497	2,376	2,254	2,135

PV of FCFF ₹25,159 cr; PV of terminal value ₹36,163 cr (59% of EV); EV at Mar-26 ₹61,322 cr; rolled ₹65,144 cr; VECV ₹16,320 cr; equity ₹98,305 cr; ₹3,581 per share today; ₹3,990 at 12 months.

Bull case

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Net sales	30,150	36,230	42,008	47,661	53,616	58,977	64,285	69,750	75,330	80,979
EBITDA	7,537	9,239	10,838	12,392	13,940	15,334	16,714	18,135	19,586	21,055
Free cash flow to firm	**3,799**	**4,681**	**6,155**	**7,497**	**8,901**	**9,512**	**10,395**	**11,293**	**12,213**	**13,146**
Present value	3,600	3,981	4,699	5,138	5,476	5,253	5,153	5,026	4,879	4,714

PV of FCFF ₹47,918 cr; PV of terminal value ₹79,864 cr (63% of EV); EV at Mar-26 ₹127,782 cr; rolled ₹135,746 cr; VECV ₹19,040 cr; equity ₹171,627 cr; ₹6,252 per share today; ₹6,965 at 12 months.

Base case discounting detail

Year	FCFF	Period (yrs)	Discount factor	PV
FY27E	3,425	0.5	0.947	3,245
FY28E	4,015	1.5	0.850	3,415
FY29E	5,119	2.5	0.763	3,908
FY30E	6,074	3.5	0.685	4,162
FY31E	7,122	4.5	0.615	4,382
FY32E	7,517	5.5	0.552	4,151
FY33E	8,142	6.5	0.496	4,036
FY34E	8,765	7.5	0.445	3,900
FY35E	9,392	8.5	0.399	3,752
FY36E	10,017	9.5	0.359	3,592

Terminal value = FY36E FCFF × 1.055 ÷ (11.4% − 5.5%) = ₹179,117 cr, discounted 10 years to ₹60,853 cr.

Appendix C2. Quarterly databook

	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Net sales (₹ cr)	3,986	4,115	4,179	4,256	4,393	4,263	4,973	5,241	5,042	6,172	6,114	6,080	6,632
Operating profit	1,021	1,087	1,090	1,129	1,165	1,088	1,201	1,258	1,203	1,512	1,557	1,514	1,591
margin	25.6%	26.4%	26.1%	26.5%	26.5%	25.5%	24.2%	24.0%	23.9%	24.5%	25.5%	24.9%	24.0%
Net profit	918	1,016	996	1,070	1,101	1,100	1,170	1,362	1,205	1,369	1,421	1,520	1,463
EPS (₹)	33.58	37.12	36.38	39.10	40.20	40.15	42.70	49.68	43.95	49.93	51.79	55.41	53.28

Source: Screener quarterly results; Jun-23 to Dec-23 from the "QUARTERLY RESULTS.png" screenshot (rounded to ₹ crore).

Volumes (units)	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26*	Q1 FY27
Total	261,326	327,067	325,773	313,811	332,940
India	228,779	292,703	300,426	285,435	301,174
International	32,547	34,364	25,347	28,376	31,766
Total YoY					+27.4%

*Derived: FY26 volumes of 1,227,977 (1,107,343 India; 120,634 international) less Q1–Q3.

Appendix C3. Update checklist for the Q2 FY27 results

- Volume against 332,940; India vs international split; whether the 5,000-a-day run-rate translated into wholesale.
- Operating margin against 24.0%; commodity commentary; effect of price rises; depreciation against ₹278 cr.
- Other income and share of VECV profit (compare ₹163–168 cr in Q1 FY27); VECV Q2 profit and margin.
- Capacity: second Cheyyar module status; Tada progress; inventory days at dealers.
- Update DCF roll-forward date, cash balance (₹19,091 cr at Mar-26) and the dividend payable (paid after the AGM).

Appendix D. Glossary

Term	Meaning
CKD	Completely knocked-down kit assembled locally
DCF	Discounted cash flow
EBITDA / operating profit	Net sales less operating expenses, before other income, depreciation, interest and tax (Screener "operating profit")
FCFF	Free cash flow to firm: NOPAT + depreciation − capex − working-capital build
GST	Goods and Services Tax; rationalised in 2025
J platform	Royal Enfield 350cc engine/chassis platform (Classic, Bullet, Hunter, Meteor, Goan Classic)
MBO	Multi-brand outlet
NOPAT	EBIT × (1 − tax rate)
PAT	Profit after tax (net profit)
VAVE	Value analysis / value engineering cost programme
VECV	VE Commercial Vehicles Limited, EML–Volvo Group joint venture (EML 54.4%)
VFS	Volvo Financial Services (India)
WACC	Weighted average cost of capital

Appendix E. Sources

- **Input pack (Google Drive folder "EICHER RESEARCH RESOURCES"):** Eicher Motors.xlsx (Screener export: annual, quarterly, balance sheet, cash flow); Eicher-Motors-Integrated-Annual-Report-2023-24.pdf; Eicher-Motors-Integrated-Annual-Report-2024-25.pdf; EICHER ANNUAL REPORT 2026.pdf; EICHER CONCALL 2026 Q2.pdf; EICHER CONCALL 2026 Q3.pdf; EICHER CONCALL 2026 Q4.pdf (Q4 FY26, 22 May 2026); EICHER CONCALL 2027 Q1.pdf (Q1 FY27, 29 July 2026); KEY FINANCIAL METRICS.png; PEER COMPS.png; QUARTERLY RESULTS.png.
- **Market data:** current price ₹7,187.60 at 11:13 IST on 21-Oct-26 from the Screener screenshot; the portfolio purchase price of ₹7,266.00 was a live NSE quote at 10:00 IST the same day.
- **Risk-free rate:** India 10-year government bond yield 7.18%, Trading Economics (28-Sep-26).
- **Not in the input pack:** price chart and multi-year price series; full auditor's report text; consensus estimates; peer filings.

Appendix F. Data notes: conflicts, derivations and gaps

Conflicts between sources

- **April 2026 growth.** On the Q4 FY26 call the April-2026 growth is quoted as 51% (opening remarks), 57% (1.04 lakh units, other passage), 31% and 37% (answers to analyst questions). The references may use different bases (retail, wholesale, domestic, total). We do not use any of them as a fact; Q1 FY27 volumes are used instead.
- **VECV profit share, Q1 FY27.** The call states ₹168 cr; 54.4% of the stated VECV profit of ₹300 cr is ₹163 cr. We show both and use ₹168 cr in Figure 8 and ₹163 cr in none of our forecasts.
- **FY24 international revenue.** ₹1,850 cr (AR FY24) vs ₹1,861 cr (AR FY26). We use ₹1,861 cr.
- **Trailing P/E.** 34.2x (Screener price ÷ trailing EPS; our own sum of four quarters gives ₹210.41 and 34.2x) vs 33.9x in the peer table. Different snapshot times; we use 34.2x.
- **FY24 and FY25 volumes.** Annual tables give 912,009 and 1,002,936 units; AR FY24 and some call-based sums show 912,003 and 1,002,893. We use the annual tables in text and the earlier figures in Figure 14, a difference of under 0.01%.
- **Mid-size share.** AR FY26 gives 86.8% (250cc and above, FY26); management cited about 84% (Q2 FY26 call), an exit share of 88.9% (Q3 FY26 call) and about 84% implied on the Q1 FY27 call (101,000 of 120,000 a month). Different periods and bases; none is used in our forecasts.
- **AR FY26 growth wording.** The AR text says domestic sales grew 20% and international 23%, but its own volumes (902,757 to 1,107,343 domestic; 100,136 to 120,634 international) give +22.7% and +20.5%, as the Q4 FY26 call also states (23% and 20%). We use the computed figures.
- **One Ride 2025.** The Q2 FY26 call cites over 50,000 riders in 65-plus countries; the Q4 FY26 call cites about 40,000 riders across 66 countries for the same 14th edition. We do not use either in the analysis.
- **FY24 volume.** AR FY24 states 912,003 units; AR FY26 tables show 912,009.
- **VECV margins.** Calls state Q2 FY26 EBITDA margin 8.0% (₹479 cr on ₹6,106 cr standalone revenue is 7.8%) and Q3 FY26 9.5% (₹652 cr on ₹7,019 cr is 9.3%); we show computed values with the stated value alongside.
- **Dividend per share.** ₹82 for FY26 (AR FY26); the Screener payout and dividend amount (₹2,249 cr) agree.
- **Cost of capital across reports in this portfolio.** Our Maruti report (19-Oct-26) used a 5.42% risk-free rate, 7.08% equity risk premium and beta 0.95; this report uses 7.18%, 5.0% and 0.85. The two documents are not methodologically identical and should not be compared on their DCF values.

Derived figures (not company-reported)

- Q4 FY26 volumes (313,811 total; 285,435 India; 28,376 international) = FY26 less Q1–Q3.

- EML share of VECV profit in Q4 FY26 (~₹324 cr) = 54.4% × VECV PAT ₹595.8 cr. Quarterly shares for Q1–Q3 FY26 are from the calls.
- FY26 profit-before-tax decomposition (Figure 12): operating ₹4,877 cr = operating profit ₹5,789 cr − depreciation ₹840 cr − interest ₹72 cr; VECV ₹799 cr; treasury and other ₹1,426 cr = other income ₹2,225 cr − VECV share.
- Our inference that the VECV share sits within Screener "other income" rests on the arithmetic of the quarterly PAT bridge; the company does not show it in the Screener data.
- Revenue per unit = consolidated net sales ÷ RE volume; it attributes subsidiary and allied revenue to motorcycles.

Gaps

Not available to us: a price series (so no beta, volatility or technical analysis), the full auditor's report and key audit matters, consensus estimates, peer financials beyond the Screener table, a segment-level margin for Royal Enfield versus allied businesses, royalty or related-party details, and the Q2 FY27 results date.

Appendix G. Methodology, rating bands and disclaimer

Rating (12-month total return = price return + dividend yield): Buy above +15%, Hold from −10% to +15%, Sell below −10%. **Target** = 50% × DCF 12-month value + 50% × 30x FY28E EPS, rounded to the nearest ₹50. DCF: explicit FY27E–FY31E, fade FY32E–FY36E, terminal growth 5.5%, WACC 11.4% (CAPM: 7.18% + 0.85 × 5.0% = 11.43%, no debt weight), mid-year discounting to 31-Mar-26 and rolled forward 0.56 years to 21-Oct-26; plus Mar-26 cash and investments of ₹19,091 cr, less the ₹2,249 cr dividend payable, plus VECV at 20x EML's share of FY27E profit. 12-month DCF value = value today × 1.114. Scenarios are our own and are not probability-weighted. Estimates, margins, volumes, capex, tax rate (23.5%), the VECV multiple, beta, equity risk premium and the target multiple are our assumptions.

Figures are from the documents listed in Appendix E and reflect information available on 21–22 October 2026; prices as of 21 October 2026 (Screener, 11:13 IST). Results of Q2 FY27 are pending. This document was prepared with AI assistance from the sources listed; it is for documentation of a **virtual portfolio** (₹1 crore tracker; the Eicher position of 1,000 shares at ₹7,266.00 is notional), is not investment advice, is not a recommendation to buy or sell any security, and has not been reviewed by a registered research analyst. Verify all figures against the company's filings before relying on them.

Appendix H. Audit trail: how each derived figure was computed

Derived figure	Formula	Inputs
Market capitalisation	Price × shares	₹7,187.60 × 27.45 cr = ₹197,300 cr
Book value per share	(Equity capital + reserves) ÷ shares	(27.43 + 25,072.72) ÷ 27.45 = ₹914
Trailing EPS and P/E	Sum of last 4 quarterly EPS; CMP ÷ EPS	51.79 + 55.41 + 53.28 + 49.93 = ₹210.41; 34.2x
Cost of equity	Rf + beta × ERP	7.18% + 0.85 × 5.0% = 11.43%
Net sales (forecast)	Volume × revenue per unit	FY27E 1.44m × ₹1.99 lakh = ₹28,656 cr
EBITDA	Net sales × margin	FY27E ₹28,656 cr × 23.8% = ₹6,820 cr
Share of VECV profit	VECV profit × 54.4%	FY27E 1,650 × 54.4% = ₹898 cr
Net profit (forecast)	(EBITDA + treasury + VECV share − depreciation − interest) × (1 − 23.5%)	FY27E (6,820 + 1,550 + 898 − 1,150 − 85) × 0.765 = ₹6,145 cr
EPS (forecast)	Net profit ÷ 27.45 cr	FY27E ₹6,145 ÷ 27.45 = ₹223.9
FCFF	NOPAT + depreciation − capex − 5% × Δsales	FY27E 4,338 + 1,150 − 1,800 − 262 = ₹3,425 cr
Terminal value	FCFF(FY36E) × 1.055 ÷ (0.114 − 0.055)	10,017 × 1.055 ÷ 0.059 = ₹179,117 cr
Equity value per share	(EV rolled + cash − dividend payable + VECV) ÷ 27.45	(105,592 + 19,091 − 2,249 + 17,952) ÷ 27.45 = ₹5,114
12-month DCF value	Value today × 1.114	₹5,114 × 1.114 = ₹5,697
P/E leg	30 × FY28E EPS	30 × ₹256.2 = ₹7,686
Target	50% DCF 12M + 50% P/E leg, rounded to ₹50	0.5 × 5,697 + 0.5 × 7,686 = 6,692 → 6,700
Total return	(Target ÷ price − 1) + 82 ÷ price	-6.8% + 1.1% = -5.6%
Buy / Sell price levels	(Target + 82) ÷ 1.15; ÷ 0.90	₹5,897 / ₹7,536

Source: our model; the figures reproduce the tables in Sections 2, 10 and 11.

Appendix I. Evidence register: what we read and how we used it

Document	Read how	Used for
Eicher Motors.xlsx (Screener)	All sheets transcribed to code	FY17–FY26 financials, ratios, quarterly results to Jun-26
EICHER ANNUAL REPORT 2026.pdf	Text extracted; key sections read (business, risks, volumes, networks, dividend, cash)	Volumes, revenue split, market share, network, risks, cash ₹19,091 cr, ₹82 dividend
Integrated Annual Reports 2024-25 and 2023-24	Text extracted; volume and revenue tables read	FY22–FY25 volumes, revenue split, FY24 conflict check
Concall Q4 FY26 (22 May 2026)	Read in full	FY26 results, VECV, Volvo financing JV, April trading, capacity, labour disruption
Concall Q1 FY27 (29 July 2026)	Read in full	Q1 results, margin bridge, capacity roadmap, Tada, international, VECV, Flying Flea, allied
Concall Q2 and Q3 FY26	Searched and read for volumes, GST, tariffs, VECV share	Quarterly volumes, GST effect, US tariff commentary
KEY FINANCIAL METRICS.png, PEER COMPS.png, QUARTERLY RESULTS.png	Read as images	Price, 52-week range, trailing P/E, peers, Jun-23 to Dec-23 quarters, quarterly EPS
Trading Economics (web)	Fetched 28-Sep-26 value	India 10-year yield 7.18%

How the evidence limits our conclusions

The pack contains no price history, so valuation relies on a judgemental beta and on Screener's published multiples. Forward estimates rest on management statements from four calls and on our own assumptions; we had no consensus to compare against. Quarterly volumes for Q4 FY26 and the split of profit between operating, treasury and VECV are derived. The report should be read as a structured, sourced opinion rather than a definitive valuation.